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May 11, 1994

To: Members of the Executive Board

From: The Acting Secretary

Subject: Republic of Congo - Staff Report for the 1994 Article IV
Consultation and Request for Stand-By Arrangement

Attached for consideration by the Executive Directors is the staff report for the 1994 Article IV consultation with the Republic of Congo and its request for a stand-by arrangement in an amount equivalent to SDR 23.16 million. This paper, together with the letter of intent from the Congo authorities (EBS/94/71, 3/31/94), will be brought to the agenda for discussion on a date to be announced. A draft decision appears on page 19.

Mr. Acquah (ext. 38661) or Mr. Meyers (ext. 36256) is available to answer technical or factual questions relating to this paper prior to the Board discussion.

Unless the Documents Preparation Section (ext. 36760) is otherwise notified, the document will be transmitted, in accordance with the procedures approved by the Executive Board and with the appropriate deletions, to the African Development Bank (AfDB), the European Communities (EC), and the GATT Secretariat, following its consideration by the Executive Board.

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INTERNATIONAL MONETARY FUND

REPUBLIC OF CONGO

Staff Report for the 1994 Article IV Consultation
and Request for Stand-By Arrangement

Prepared by the African Department

(In consultation with the Fiscal Affairs, Legal, Monetary and
Exchange Affairs, Policy Development and Review, Statistics,
and Treasurer's Departments)

Approved by Christian Brachet and Chanpen Puckahtikom

May 10, 1994

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I. Introduction

The 1994 Article IV consultation discussions with the Congo, together with discussions on a program that could be supported by a stand-by arrangement, were conducted at headquarters from January 21 to February 3, 1994 and followed up in Brazzaville during March 11-16, 1994. The Congolese representatives in these discussions included the Prime Minister, the Minister of Finance and the Budget, the Minister of the Economy in charge of Prospects, the National Director of the Central Bank of Central African States (BEAC), and the economic advisors to the President and the Prime Minister. ^{1/} The Congo is on the standard 12-month consultation cycle.

The last Article IV consultation was concluded on January 17, 1992 (EBM/92/6). At that time, Directors expressed concern that the key elements of the program supported by the stand-by arrangement approved in August 1990 had been abandoned in the ensuing period of social and political upheaval in the country. They urged the authorities to implement without delay a comprehensive adjustment strategy to improve public finances, restore transparency in oil sector transactions, and liberalize the economy. The subsequent consultation scheduled for the fall of 1993 had to be postponed for domestic security reasons (EBD/94/2). In the interim, however, a dialogue was maintained through several rounds of discussions with Congolese delegations in Washington, and that dialogue received additional impetus from the decision of the African Heads of State and Government of the franc zone to realign the parity of the CFA franc, from CFAF 50 to CFAF 100 per French franc, effective January 12.

In a letter to the Managing Director dated March 17, 1994, the Government of the Congo has requested a 12-month stand-by arrangement in an amount equivalent to SDR 23.16 million (40 percent of quota). Attached to the letter is a memorandum of economic and financial policies of the Government (EBS/94/71).

As of end-March 1994, the Congo's outstanding use of Fund resources amounted to SDR 3 million (5.2 percent of quota). If the full amount under the requested stand-by arrangement is purchased in accordance with the proposed schedule, and taking into account scheduled repurchases, the Congo's outstanding use of Fund credit would amount to SDR 23.66 million (40.9 percent of quota) at the end of the arrangement (Tables 1 and 2). The Congo has continued to meet its financial obligations to the Fund in a timely manner. However, during the past three years, the Congo has been accumulating payments arrears to virtually all its other external creditors, including the World Bank. On September 3, 1991, the Bank placed the Congo

^{1/} The staff team for the discussions at headquarters included Mr. Acquah (head-AFR), Ms. Wilson (AFR), Mr. Ebrahim-zadeh (PDR), Mr. Meyers (AFR), Mr. Lugaresi (FAD), and Ms. Duane (assistant-AFR). The March mission comprised Mr. Acquah (head-AFR), Ms. Wilson (AFR), Mr. Ebrahim-zadeh (PDR), Mr. Meyers (AFR), and Ms. Wein (assistant-AFR).

on nonaccrual status because of overdue obligations, which totaled US\$93 million as of March 16, 1994. On that same date, the Congo's arrears to the African Development Bank (AfDB), which has also placed the Congo on nonaccrual status, amounted to some US\$101 million.

The Fund and World Bank staffs have been cooperating closely on the Congo, in assisting the authorities in formulating an adjustment strategy. With the renewed commitment to reform, the Bank is putting in place a recovery operation in coordination with the AfDB to help the Congo resolve the problem of its arrears to the Bank and the parallel arrears problem vis-à-vis the AfDB. The Congo's relations with the Fund and the World Bank are summarized in Appendices I and II, respectively.

II. Background and Recent Economic Developments

The Congo has completed a transition to democratic rule that culminated in elections at the municipal, parliamentary, and presidential levels, and the installation of a new administration on August 31, 1992. The administration came to power in a climate of sagging confidence in a centrally directed economy faced with unsustainable internal and external imbalances against the backdrop of very low non-oil GDP growth and high and rising unemployment. In 1993 non-oil GDP is estimated to have dropped by 6.7 percent, lowering the 1990-93 average annual GDP growth rate to some $\frac{1}{2}$ of 1 percentage point. Agricultural production declined by some 6 percent and forestry activity shrank by 37 percent, while the recession deepened in industry, commerce, communications, and other services.

Although the sharp reversal of oil-led terms of trade gains and the political uncertainties were important contributing factors in this economic stagnation, a significant loss of economic efficiency and competitiveness also played a role. This loss stemmed from structural problems, particularly in the public enterprise sector and, more generally, the tradable goods sectors. For a number of years, the key public enterprises (accounting for about one fourth of total formal sector employment) have been experiencing financial difficulties. Weaknesses in management, rigid pricing and labor market regulations in the context of a centrally directed economy, and strong unions with a high proclivity for industrial action have meant overstaffing, sustained operating losses, and a major drain on public resources. Enterprises have also burdened the economy with high-cost public goods and services. In addition, the public sector has created a growing web of doubtful cross-debts, including substantial nonperforming assets in the banking system. The Congo's CPI-based measure of the real effective exchange rate (REER) remained fairly stable around its 1980 mean during the ten-year period ending in 1993. Clearly, this does not accurately reflect the trend in the competitiveness of the Congolese economy, especially considering the wage movements in recent years (Chart 1). Public enterprise average wages increased by 25 percent in 1990 and a further 60 percent in 1991, setting the pace for the rest of the formal sector, and further

squeezing operating margins. Overall, employment losses averaged 5.5 percent per annum over the period 1988-93, and were concentrated in the private sector. The problem of competitiveness was aggravated also by the considerable deterioration in the terms of trade during this period.

The economy's deep-rooted structural weaknesses and financial problems have become particularly acute since late 1990. Because of the major wage and employment concessions and policy reversals by the outgoing military regime and the policy drift that characterized the transition period, the economic difficulties assumed crisis proportions. By 1993 the government wage bill had risen to CFAF 136 billion, or to the equivalent of 20.2 percent of GDP, and it was some 70 percent larger than three years earlier and absorbed over 97 percent of budgetary receipts. Nondebt current expenditure commitments for 1993 exceeded budgetary revenue by CFAF 67 billion (48 percent of revenue); and capital expenditure had become insignificant. Although increased oil production and exports helped to stabilize government revenue through 1992, the primary fiscal deficit exceeded 13 percent of GDP in 1993, in sharp contrast to a surplus of almost 3 percent recorded in 1990 following the temporary surge in oil prices (Tables 3 and 4). The Government began to fall behind on its salary payments to civil servants, as did the rest of the public sector, where salary increases in 1990 had been even steeper. The overall deficit on a commitment basis (excluding grants) widened to an estimated 22½ percent of GDP in 1993, from less than 7 percent in 1990. Reflecting to a considerable extent the growing fiscal imbalances, large external current account and balance of payments deficits (averaging 18½ percent and 17 percent of GDP, respectively) were recorded during the period (Table 5), which were financed by rising external payments arrears of the Central Government.

Despite these mounting financial imbalances and contrary to the stance of policies called for by the Fund-supported program at the time, the restructuring of the key public enterprises was put on hold and then abandoned altogether under labor pressure in the turmoil associated with the drive toward democratization. Specifically, the decision to privatize the petroleum distribution company (HYDROCONGO) was revoked; the collection of the domestic tax on petroleum consumption introduced in August 1989--a potential significant revenue source--was halted; and the former system involving negotiation of the budgetary contribution by HYDROCONGO was restored, a system that had led to a de facto nonpayment of taxes by the company. Attempts to restructure the commercial banking system were temporarily blocked by labor, leaving the Congo lagging behind all its partners in the BEAC monetary zone on the key issue of bank reform. 1/

1/ The Congo was the last to ratify the agreement establishing the Common Banking Commission (COBAC) and the common banking control law. However, it has implemented all the monetary policy changes, e.g., including the liberalization of interest rates, introduced by the BEAC.

The Congo ended the year 1993 with a stock of debt equivalent to 215 percent of GDP, one of the highest among developing countries, and its population was faced with rapidly declining living standards. Systematic resort to foreign borrowing as a means of financing current expenditure raised the official medium- and long-term external debt (including arrears) to an estimated SDR 3.6 billion by end-1993. Fiscal slippages and abandonment of the structural reforms initiated in the context of the Fund-supported program resulted in failure to comply with the 1990 Paris Club debt rescheduling agreement; in the event, the Congo's external payments arrears increased to SDR 0.9 billion at end-1991 and are estimated to have reached SDR 1.4 billion at end-1993. These arrears included an estimated SDR 129.5 million on post-cutoff-date debt service obligations and SDR 154 million on financial obligations to multilateral organizations (mostly the World Bank and AfDB). For 1993, debt service on current maturities alone is estimated to have been equivalent to 40 percent of exports of goods and nonfactor services. In addition, the Central Government built up domestic arrears estimated at CFAF 245 billion at the end of 1993, including CFAF 115 billion in unpaid salaries and CFAF 78 billion in unpaid various suppliers' claims.

III. Report on the Discussions and the 1994 Program

Against this background, the authorities acknowledged the need for a comprehensive adjustment program along the lines indicated by Executive Directors on the occasion of the last Article IV consultation, but noted that action had been delayed by the difficult political and social problems that arose during the transition to a multiparty regime. However, the cessation of conflict early in the year had opened the way for the effective implementation of the required adjustment measures to deal with the Congo's daunting economic and financial problems.

The authorities stressed that, indeed, by late 1993 an internal consensus had developed that fundamental reforms were urgently needed to turn the situation around. The January devaluation of the CFA franc vis-à-vis the French franc, effective January 12, 1994, provided an additional impetus for reform and served to mobilize favorable response from domestic social partners and the markets, as it was seen as essential to enhancing the economy's international competitiveness and underpinning the adjustment process. Accordingly, toward the end of the first quarter of 1994, the Government began implementing a far-reaching adjustment program designed to come to grips with the financial crisis and restore competitiveness on a lasting basis so as to rebuild confidence in the economy and lay the foundation for future growth.

The program is framed in the context of a comprehensive medium-term strategy defined in the Government's Social and Economic Recovery and Action Program (PARESO), which had been prepared in the course of 1993 in consultation with the staffs of the Fund and the Bank and adopted by Parliament. The strategy calls for a clear break with the onerous economic traditions

and practices of the preceding decades, and especially for a progressive disengagement of the public sector from wide segments of the economy to make room for an expanding private sector. The strategy features two main components: The first is a range of measures in the areas of public finances and trade that focuses on: (a) fiscal retrenchment and expenditure rationalization, including the restructuring and downsizing of the civil service and a tightening of the policy on subsidies and transfers; (b) enhanced resource mobilization, first, through changes in the tax regime designed to broaden the domestic tax base, including the eventual introduction of a value-added tax, as well as improvements in tax monitoring and collection; and, second, through a reassessment of the procedures and financial terms governing contracts for oil exploration and production, with a view to maximizing revenue from the petroleum sector; (c) the rebuilding of an efficient financial administration, including the centralization and rationalization of public debt management, a return to fiscal orthodoxy and accountability, and transparency in public sector transactions; and (d) a far-reaching restructuring of the external tariff to reduce effective protection and eliminate quantitative restrictions, in the context of UDEAC-wide reforms. 1/

The second main component of the strategy rests on a set of front-loaded structural measures to be implemented according to a clearly defined timetable, with the first critical steps to be taken by June 1994. These comprise the restructuring and streamlining of the public enterprise sector, with emphasis on the national monopolies responsible for the supply and distribution of petroleum products, the domestic transportation network, and public utilities; the intensification of banking sector reform; and a further liberalization of the regulatory environment. The authorities agreed with the staff that rigorous and effective implementation of their comprehensive adjustment program was key not only to addressing the Congo's difficulties but also to restoring orderly relations with domestic and external creditors.

1. Medium-term macroeconomic targets and program for 1994

In the framework of this adjustment strategy, the authorities have set the following basic macroeconomic objectives for the medium term:

(a) achieving an average real rate of GDP growth of 5 percent a year by 1995-96, well above the annual rate of increase of the population; (b) ensuring a return to low inflation by 1996, comparable to the inflation rates recorded by the Congo's trading partners; (c) raising domestic savings in the non-oil sector from the recent negative rate to 5.5 percent in 1994 and to 14.5 percent by 1996; and in parallel (d) reducing the external current account deficit, excluding official transfers, from 20 percent of GDP in 1993 to 14 percent by 1996, with a fundamental shift in the underlying non-oil sector current account.

1/ UDEAC, Union Douanière des Etats de l'Afrique Centrale.

Moving the economy onto this adjustment path is to be facilitated by the change in the parity of the CFA franc, and the accompanying macro-economic policies and structural reforms. The key element in this framework, given the Congo's exchange arrangements, is the programmed improvement in the fiscal position. The primary balance is targeted to shift from a deficit equivalent to 13 percent of GDP in 1993 to a surplus of 3 percent of GDP in 1996, and the overall fiscal deficit, on a commitment basis and excluding grants, to narrow from the equivalent of 23 percent of GDP to 8 percent over the same period. Yet, even with the envisaged improvement in the underlying fiscal and external payments positions, the Congo will face very large financing gaps through the medium term, because of the onerous external debt-servicing burden. These gaps are estimated to be on the order of CFAF 630 billion annually, on average, over the three-year period 1994-96. The gaps are expected to be covered by comprehensive debt relief and restructuring, as well as additional financial assistance from bilateral and multilateral donors.

2. The 1994 program

The program for 1994 is designed to (a) arrest the decline of non-oil real GDP, with a zero growth rate targeted for 1994, while overall real GDP would decline by some 2½ percent because of the projected fall in petroleum output; (b) limit inflation, as measured by the average increase in the high-income consumer price index, to some 40 percent; and (c) contain the external current account deficit (excluding official transfers) at around 28 percent of GDP, and the underlying non-oil sector current account deficit at less than 19 percent of non-oil GDP.

The key elements of the 1994 program are summarized below. Selected economic indicators, fiscal and balance of payments targets and projections for 1994-97 are presented in Tables 4, 5, and 6. A more detailed description is provided in the authorities' memorandum on economic and financial policies (EBS/94/71). The proposed performance criteria and benchmarks are presented in a table annexed to the memorandum, which is reproduced in this report with a modification made with the concurrence of the authorities: In light of the time that elapsed before resolving the financing problems and securing firm financing assurances for the program, the monitoring period for the program has been extended through March 1995, to conform more closely with the period of the arrangement (Appendix V).

a. The 1994 budget

The revised budget for 1994, which was adopted in February, is designed to establish the path for effective fiscal retrenchment, and it is the key element of the Congo's program for 1994. The budget aims at limiting the overall central government deficit to the equivalent of 18½ percent of GDP, with the primary deficit to be compressed to the equivalent of 5.4 percent of GDP, from 13.2 percent in 1993. The revenue target is set at CFAF 231 billion, compared with CFAF 140 billion in 1993. Oil revenue accruing to the Government is projected to rise by 68 percent, to

CFAF 84 billion, based on the expected price for Congolese crude and a marketed output of 8.7 million tons and the declaration of a possible zero income tax liability of the petroleum companies for the second consecutive year, compared with a payment of CFAF 28 billion (4 percent of GDP) in 1992. Non-oil revenue is programmed to rise by 64 percent, to CFAF 148 billion, mainly owing to the introduction of several discretionary measures as well as improvements in tax and customs administration.

The revenue measures consist of (a) the reintroduction of the tax on domestic consumption of petroleum products effective March 19, 1994, which is expected to mobilize some CFAF 18 billion in new revenue; fuel prices were increased accordingly, taking account also of the devaluation of the CFA franc; (b) the introduction on April 1, 1994 of the new structure of external tariffs in the context of the UDEAC tax and customs reform; and the replacement of the single tax and the domestic tax on production by a turnover tax with a normal rate of 12 percent and a reduced rate of 5 percent (to be replaced in 1995 with a value-added tax), and harmonization of excise taxes at a single rate of 24 percent for certain products. These rates were chosen with a view to, at least, ensuring revenue neutrality of the reforms; and (c) the establishment of a system of anticipatory payment of income taxes to be collected at the time of clearance of imports or delivery of goods at the wholesale level to small enterprises. The tax is set at 1-2 percent of the assessed value; it is deductible against income tax liabilities. The measure is designed to broaden the tax net to cover the informal sector. In addition, the Government will implement a series of administrative measures to improve tax assessment and collection. Meanwhile, as indicated above, the Government will review and reformulate its approach to the issuance of permits for petroleum exploration and exploitation by end-1994. The focus of the review will be on streamlining procedures, ensuring transparency in contractual agreements, and opening up the market to competition, with the ultimate objective of increasing revenues from the petroleum sector.

On the expenditure side, the revised appropriations are set with three objectives in mind: to reduce public sector absorption of resources; to rationalize expenditure in favor of priority sectors and investment; and to restore the Government's ability to meet its debt service and payments obligations. Accordingly, the revised budget limits total appropriations (excluding interest on public debt) to CFAF 276 billion in 1994. Given the revenue target, this should reduce the primary deficit to less than 5½ percent of GDP, from over 13 percent in 1993.

Current noninterest expenditure would be limited to CFAF 194 billion, a decline equivalent to more than 7½ percentage points of GDP from 1993, on account of the following measures: (a) a cap on the government wage bill at CFAF 122 billion, through a reduction in the number of government employees of 10,000, or 12.5 percent, over the course of the year. As envisaged under the program, the Government removed from the payroll, effective March 1994, some 7,000 budgetary posts regarding civil servants in irregular employment status and other payroll irregularities (with another 2,000 expected to

follow later during the year); in contrast, salary levels have been kept unchanged, and the 20-35 percent reduction in base salaries provided for in the original 1994 budget has been suspended for the time being; (b) a restraint on the growth and change in the composition of other current outlays. Thus, transfer payments are to remain virtually unchanged, while outlays for materials and supplies are budgeted to rise markedly from the exceptionally low level in 1993 to meet the essential requirements of the administration. Moreover, to position the economy on the road to recovery, capital expenditure would rise to around CFAF 67 billion, while funding for structural reforms has been set at CFAF 15 billion, with the main emphasis on the rehabilitation of basic infrastructure and priority social sectors, especially health and education.

To ensure that spending departments and ministries stay within their budgetary allocations and to avoid slippages relative to the overall deficit target, the authorities have been implementing firm expenditure control procedures, including the close linkage of quarterly expenditure authorizations to revenue performance.

The program provides for a gradual reduction of the Government's net indebtedness to the domestic banking system in order to assist with the reconstitution of the net foreign assets position of the BEAC and to allow adequate credit accommodation to the private sector. The settlement of domestic arrears, however, is expected to be delayed, owing to the tight budgetary situation and pending the conclusion of ongoing negotiations with regard to the salary arrears and completion of an inventory and verification of the arrears to suppliers. Thus, there is no provision for a reduction of domestic arrears in the 1994 budget; a firm program for the liquidation of the arrears to domestic suppliers is expected to begin in 1995. Even so, taking into account expected disbursements on external loans and grants, including those under new commitments, the scheduled external debt amortization and the liquidation of external payments arrears, a financing gap of CFAF 1,426 billion is now envisaged for 1994. To fill this gap, the Government is seeking additional exceptional external financial assistance, including debt relief, as indicated in Section III, 2, f below. For 1995, given the outlook for budgetary resources and the expenditure policy stance, the overall central government deficit, on a commitment basis, will be reduced further to a little over 15 percent of GDP, and the financing gap to CFAF 255 billion.

b. Monetary and credit policy

The authorities have formulated their monetary program for 1994 with three specific aims: building up a small cushion of reserves by holding credit growth below the expected rate of increase in bank loanable resources, and, to this effect, reducing the excess of treasury borrowing above the statutory ceiling; ensuring that private sector credit expansion

provides adequate support to productive activities; and avoiding the channeling of additional resources into public enterprises, as these are likely to use such resources to avoid adjustment and cover their operating losses.

The design of the program is based on the expectation that real balances tend to recover gradually, though not to the point of preventing a marked increase in velocity in 1994, considering the speculative capital flight that occurred in the period immediately preceding the devaluation and the price effect of the devaluation. Real money holdings, however, would be expected to increase steadily from 1995 onward as confidence strengthens, inflationary expectations subside, and real incomes pick up. With broad money growth thus conservatively estimated at about 13 percent in 1994, and a targeted increase in the net foreign assets of the banking system of CFAF 6 billion, the following credit policy stance will be maintained: (a) the increase in net domestic assets of the banking system will be limited to 7.7 percent; (b) borrowing by the Government from the central bank will be progressively reduced to below the statutory ceiling, with a net repayment of CFAF 6 billion programmed in 1994; and (c) credit to the private sector and public enterprises would grow by slightly less than 19 percent, which is considered sufficient to assist a recovery of private sector activity, while credit to public enterprises would be frozen at its end-1993 level.

The authorities intend to exercise strong moral suasion vis-à-vis the banks to help achieve their credit target, pending the introduction of indirect monetary management instruments and the creation of a money market within the BEAC monetary zone by July 1, 1994. At the same time, monetary policy will aim at ensuring that interest rates reflect market conditions to the extent possible and that they help establish restrictive credit conditions and not allow the relative price corrections following the devaluation to be incorporated into inflationary expectations. Thus, the BEAC's normal refinancing rate was raised from 11.5 percent to 14 percent on January 14, 1994, and it will be adjusted periodically in line with price developments and the level of demand for financial assets. Moreover, as a precautionary move, the central bank has added the reserve requirement ratio to its arsenal of policy instruments. It would be prepared to use it in the event that capital reflows into the banking system were seen to be destabilizing during the program period.

c. External sector policies and prospects

Under the policies described above, the external current account deficit (excluding official transfers) is projected to narrow from the equivalent of 20 percent of GDP in 1993 to 14 percent in 1996. However, the deficit is estimated to widen temporarily to the equivalent of 28 percent of GDP in 1994.

This current account profile reflects a large increase in interest payments from 1994 onward, as a result of the exchange rate change. At the same time, imports are projected to rise initially by 12 percent in real terms on account of the increase in oil sector imports and the resumption of public sector investment, as programmed, in 1994. Subsequently, in 1995-96 imports are projected to grow more moderately and at a more normal pace as investment and non-oil GDP pick up. In contrast, estimates are that, given present infrastructural bottlenecks and the state of domestic industry, exports will show little increase in the short run. Sustained export growth should begin, however, in 1995 as production of forestry products, manufactures, and other nontraditional exports responds to the gains in competitiveness and adjustment in relative prices. Nonetheless, the tight demand management policies and a measure of import substitution should help limit the non-oil sector trade and current account deficits relative to non-oil sector GDP in 1994. Taking into account the projected debt service payments, the targeted modest buildup of reserves, and the programmed liquidation of external payments arrears, the financing gap, as already noted, is estimated at CFAF 1,426 billion in 1994.

As regards the trade and payments system, there have been two major developments in addition to the exchange rate adjustment on January 12, 1994. The first was the reform of the external tariffs in the context of the UDEAC. This effectively rationalized protection rates, by narrowing dispersion while eliminating quantitative restrictions. The authorities welcomed the reform as a major step in the process of effective regional economic integration and cooperation. They also saw as a benefit its proximate effect of attenuating domestic price increases as tariff rates were scaled down significantly. However, there were concerns about the capacity of domestic industry to withstand competitive pressures, but such concerns had to be balanced against efficiency and potential welfare gains over the long term.

The second development was that in August 1993, the authorities suspended the repurchase of BEAC bank notes exported outside the zone. Moreover, bank transfers above CFAF 500,000 were made subject to prior authorization. The authorities explained that the measures were designed to cover only capital transactions. While repurchases of bank notes would not be resumed for the time being, payments and transfers for current international transactions remained free of restrictions; in particular, bona fide requests in excess of the existing limits on travel allowances and applications for profit remittances were being granted liberally. The administration of exchange regulations itself had been delegated to the banks in order to avoid unduly burdensome procedures. The authorities stood ready to consider moving to Article VIII status as soon as possible.

d. Public enterprise and banking sector reform

The authorities recognize the importance of the public enterprise reform to strengthening the competitiveness of the economy. As envisaged under the program, the Government has moved quickly to break up the transportation company (ATC) into three separate entities. A contract that will place the railway (CFCO) under private management has been negotiated and is expected to be signed and take effect in June; the port of Pointe Noire is to become a limited company under private management; and river transport is to be privatized and the market opened up to competition. The program also provides for the following measures to be taken during 1994: (a) privatization of HYDROCONGO's storage, transportation, and distribution activities, and opening up of the market for these services to competition; (b) sale or lease of the oil refinery, and abrogation of CORAF's monopoly position, with imports of petroleum products to be liberalized from October 1, 1994; and (c) restructuring of the post and telecommunications services, and of the electricity and water utilities.

The Government also intends to complete in 1994 the ongoing rehabilitation of the banking sector and to ensure that banks that remain in operation comply with the prudential and other regulatory ratios enforced by the zone-wide bank supervision agency (COBAC). A committee charged with verifying and settling government arrears to the banking sector has already been put into place. Targeted for liquidation is the national development bank (Banque Nationale de Développement du Congo), while the Banque Commerciale Congolaise will be restructured, to give way to a successor bank with majority private capital ownership. Audits of the other two commercial banks will be undertaken by COBAC, to allow for completion of any required restructuring in early 1995.

e. Price and social measures

To counter speculative price increases associated with the disruption of supply routes by political action in the closing months of 1993 and to cushion the initial impact of the devaluation on consumer prices, the Government suspended import taxes on certain essential commodities for the first quarter of 1994 and imposed a temporary freeze on housing rents in the low-income residential areas. It has also kept unchanged for the time being the price of kerosene, a key consumer item for the poorest segments of the population. At the same time, prices for essential imported products, as well as for certain locally manufactured goods, have been placed under surveillance, and the profit margins for these products reduced and set within specified limits.

The authorities explained that the measures were temporary and that price regulation will be lifted as soon as circumstances permit and in any event no later than July 1994. The tax exemption, however, was allowed to lapse on April 1 and the imported products concerned were made subject to tax at the minimum UDEAC rate of 5 percent. The intention is to move eventually toward a free price system, with only a few essential goods to remain

subject to prior approval of markups. As for the effort to liberalize markets, a new labor code is expected to enter into force by June 30, 1994 giving greater flexibility to industry and labor in responding to market signals in hiring and wage decisions.

Aside from the immediate cost of living effects of the exchange rate action and the corrective adjustment of key prices, such as for petroleum products and public utility tariffs, the authorities noted that the adjustment program will not be without cost to some segments of the society. Most notably, permanent job losses would inevitably result from the downsizing of the civil service and the rationalization of key public enterprise operations. Accordingly, to mitigate the transitional social costs of adjustment and promote growth in private sector activity, the Government's capital spending plans are to focus on labor-intensive infrastructure investment, including the repair and rehabilitation of roads and the rebuilding of damaged structures, especially schools and hospitals. At the same time, to the extent possible--and with external technical assistance identified--public enterprise restructuring will seek to provide for retraining and severance pay schemes in order to reduce the hardship for affected workers. The recent contract for the privatization of the railway already incorporates such a scheme. The Government also plans to introduce a program that would provide long-term credit facilities to those affected by the adjustment measures, especially those forced out of their jobs, in order to facilitate reconversion to other activities. The authorities are also working on ways to induce the resettlement of up to 50,000 families in the rural sector in 1994-95. The objective is to ease social and economic pressures on urban areas, and to ensure that the benefit of the adjustment process is widely spread among the population and across regions.

f. Financing plan for 1994

As discussed above, the Congo's program for 1994 still leaves a very large financing gap estimated at CFAF 1,426 billion (US\$2.4 billion) in 1994, reflecting principally the heavy burden and structure of the public external debt. This includes the large overhang of arrears (CFAF 1,146 billion, or some US\$1.9 billion) to bilateral creditors, multilateral organizations, commercial banks, and other creditors, which need to be settled along with debt service obligations (US\$487 million) falling due during the year.

The Congolese authorities have approached bilateral creditors and donors, the World Bank and the African Development Bank, and commercial bank creditors for exceptional financial assistance and debt relief, including a restructuring of the Congo's external debt. The exceptional financing already identified for 1994 totals US\$598 million, including purchases under the requested stand-by arrangement from the Fund, equivalent to US\$32 million, and programmed disbursements of US\$125 million from the World Bank and US\$90 million from the AfDB in the context of a recovery credit program and other operations that also provide the basis for the full settlement of the Congo's arrears to each of these two institutions by September 1994. The other major component is in the form of bilateral financial support of

US\$143 million from France and US\$17 million from the European Union. Also, the recent decision by France to forgive all arrears on ODA debt obligations and to cancel half of the rest of such obligations is estimated to provide relief equivalent to US\$97 million. In addition, on behalf of the Government, one of the major oil companies operating in the Congo agreed with the creditor banks in early April to restructure the Congo's debt (US\$349 million at end-March 1994) that was securitized on its oil production into long-term loans. The consequent cash-flow relief is equivalent to US\$95 million for 1994. At the same time, the Government concluded negotiations with the company regarding oil exploration and production-sharing arrangements, thereby assuring the Congo significantly enlarged oil revenue potential from 1997 onward, when the major field will have come on stream.

The remaining financing gap for 1994 is estimated at US\$1.83 billion, which the authorities hope to close by securing a restructuring of the country's debt service obligations to official bilateral creditors and commercial banks. Following the approval of its request for a stand-by arrangement from the Fund, the Government intends to seek a comprehensive rescheduling from Paris Club creditors. Using the 1989 Paris Club rescheduling terms as indicative, the program assumes a rescheduling of all pre-cutoff-date debt (including previously rescheduled debt) in arrears as well as late interest and current maturities falling due during the program period. Even so, the Congo's debt repayment capacity will be very severely stretched, in view of its very difficult financial situation.

As part of the search for a solution to the Congo's external financing and debt problems, the Government also intends to engage in early discussions with representatives of the commercial banks and other creditors. The objective is to conclude as quickly as possible a debt restructuring agreement covering all outstanding obligations to these creditors, on terms that are compatible with the specific circumstances of these creditors and with the Congo's external payments capacity. Discussions are to begin shortly after approval of the arrangement by the Fund's Executive Board and conclusion of an agreement with official bilateral creditors.

g. Performance criteria and program monitoring

To assist in monitoring progress under the program, the proposed arrangement includes as performance criteria limits on the net domestic assets of the banking system and on the net claims of the banking system on the Government, each to be adjusted for excess petroleum revenue relative to established reference values; and limits on the contracting of new nonconcessional loans of 1-15 years' maturity; on use of net short-term external loans (excluding nominal import-related financing); and on the net reduction in the external payments arrears of the Government. Also included are the nonaccumulation of new government external or domestic payments arrears and the standard clause regarding the exchange and trade system. Three program benchmarks relate to budgetary expenditure, excluding wages and interest;

revenue from the tax on petroleum consumption; and petroleum receipts. In addition, the wage bill will be monitored closely in relation to the fixed cap and to the speed of numerical reductions in the size of the civil service.

Program financing assurances will be reviewed on a quarterly basis. Progress in the implementation of the program will be assessed on the occasion of a midterm review with the Fund, to be completed by end-December 1994. In this review, program financing assurances for 1994 will also be examined, and the credit ceilings and other benchmarks will be reviewed in the light of changes in the outlook for foreign financing and oil prices and revenues as well as differences between projected and actual debt relief obtained. In addition, the review will be devoted to establishing fiscal objectives in the context of the 1995 budget and assessing financing prospects for the year; and definitive performance criteria set for December 1994 and March 1995. The authorities will prepare a set of tables on selected economic and financial indicators on a monthly basis, and communicate them to the Fund staff, in accordance with an agreed format.

The Government has established a high-level committee, under the chairmanship of the Prime Minister, to oversee overall implementation of its adjustment program. In this context, the authorities will seek to ensure that economic statistics and data required for policy analysis are collected on a timely basis and are internally consistent, thereby addressing a major area of weakness.

IV. Medium-Term Prospects and Ability to Repay the Fund

Assuming consistent pursuit of sound macroeconomic policies and structural reforms, the Congo's fiscal and external positions and debt service profile should improve fundamentally over the medium to long term. The extended base scenario assumes that successful fiscal consolidation goes along with effective public enterprise restructuring in the context of liberalized labor market conditions and an improved regulatory framework, and that with a relatively low external tariff and the return to a free exchange and trade regime, these will have completed the transformation of the economy from one that has been heavily dominated by Government to one that is market based and outward looking. In such a context, and assuming that the projected levels of petroleum tax revenues do indeed materialize, the Central Government's overall fiscal balance should turn around decisively by 1998. However, it will require a disciplined spending policy geared to cutting back nondebt government expenditure in relation to non-oil GDP by some 10.5 percentage points by that year, from 47 percent in 1994; and thereafter, holding the ratio around 33 percent. Such an expenditure policy would assure increasingly large fiscal surpluses, boost savings in the non-oil sector, and help secure strong external adjustment and economic growth at rates averaging 5 percent annually (Tables 8 and 9, and Chart 2).

Underlying this scenario also is the assumption that the private sector will respond to the change in relative prices and efficiency gains stemming from the exchange rate correction and structural reforms, allowing real non-oil export growth to rebound to an annual average of some 10 percent in 1994-96 and to remain steady at 9 percent through 2000. Thus, with real imports assumed to keep pace broadly with non-oil sector income growth, the external current account, adjusted for oil sector transactions, would be expected to shift into large surpluses as well, closely mirroring the trend in the fiscal balance.

The fiscal and external prospects as portrayed by the scenario are consistent with the intents both of reducing the absorption of resources by the public sector, and of lowering external indebtedness so as to restore the ability of the Government to meet its domestic and external financial obligations. Along this adjustment path the need for exceptional financing would be confined mostly to the period 1994-96. During this period, the non-oil sector current account deficits (adjusted for oil sector transfers) are estimated to average the equivalent of some 11 percent of non-oil GDP, which would give rise to a cumulative gross financing requirement totaling CFAF 1,893 billion. The bulk of this, as already noted, falls in 1994, to be financed through debt rescheduling and bilateral assistance. This is mostly because of debt service on the large stock of the Congo's external debt, which is estimated to absorb some 83 percent, on average, of total government revenues over the period, or the equivalent of 85 percent of exports of goods and nonfactor services (adjusted for the net contribution of the oil sector). Over the subsequent years, these ratios decline rapidly to 43 percent and 34 percent, respectively. The debt stock in relation to non-oil GDP also declines, from a peak of 457 percent in 1994 to 289 percent by 2000. These trends strongly suggest that significant progress toward fiscal viability is likely to be achieved along with external viability early in the period 1998-99.

1. Capacity to repay the Fund

Assuming that all purchases are made under the proposed stand-by arrangement, the Congo's outstanding repurchase obligations to the Fund would increase from SDR 3 million (5.2 percent of quota) at end-March 1994 to SDR 24.16 million. These obligations would give rise to a debt service stream to the Fund that would peak in 1998 at the equivalent of 2.5 percent of total government revenues, or 5 percent of exports of goods and nonfactor services of the non-oil sector and would account for about 3.3 percent of scheduled debt service in that year. These are positive indicators when considered together with the Congo's good record of servicing its financial obligations to the Fund. To date, the Congo has discharged all such obligations promptly, and it is expected to do so in the future, given the authorities' renewed commitment to the adjustment policies needed for a lasting improvement in fiscal and external payments prospects.

2. Risks

The adjustment effort that is under way is clearly ambitious with regard to both the scope and the speed of the structural reforms required to establish an efficient economic structure and the range of policies designed to engineer changes in the pattern of savings and investment that would be consistent with the projected macroeconomic outcomes. First, given the initial state of the Congolese economy, it is uncertain how quickly and to what extent the expected gains in competitiveness will convert into output and income growth--be these gains from the exchange rate action or from efficiency and other cost-saving measures called for by the program. Another source of uncertainty, surely for the short-term fiscal revenue and trade targets but possibly also for the industry and employment outlook over the medium term, derives from the reform of the external tariff implemented in the wake of the devaluation. The downside risk of a non-oil revenue shortfall, however, is being mitigated by the expenditure control procedure that relates quarterly spending authorizations to actual revenue collections and tax assessments. In any event, the program for 1994 provides for benchmarks on performance in this regard.

Second, there is the risk of deviations of oil prices from the levels assumed for 1994 and beyond. A downward price drift, especially in 1994-96, would severely tighten the Treasury's liquidity position; the program thus provides for a contingency to deal with such an eventuality during 1994. For the medium to long term, however, the Congo's proven reserves of recoverable oil and the rate of exploitation projected by the oil companies suggest that the path leading to improvement in the fiscal and external positions and viability are quite robust, barring a major downswing in oil prices. This path is conditioned essentially by the strength and quality of the underlying policies.

V. Staff Appraisal

The Congo is confronted with daunting economic and financial problems. The policy drift that followed the abandonment of reforms in 1990, at the start of the three-year transition to a multiparty system, inexorably led the economy into a serious crisis. In particular, the inordinately large and generalized increases in public sector wages compromised public finances, as well as the financial position of enterprises and overall economic competitiveness. The authorities now have had to contend with unsustainably large fiscal deficits and a rapid buildup of domestic and external debt and payments arrears, including several months of salary arrears, in a domestic environment of low growth and rising unemployment traceable to deep-rooted structural problems.

To cope with this situation, the authorities have adopted a courageous and comprehensive adjustment program and swiftly implemented a number of key measures designed to establish the path for fiscal retrenchment, the restructuring of public enterprises, including privatization, the progressive

disengagement of the Government from the market, and the liberalization of the regulatory framework and labor market. All the measures put in place were needed and long overdue, as are many that are envisaged under the medium-term strategy, but they are now even more essential if the Congo is to derive full benefit from gains in competitiveness and the flexibility in policies afforded by the change in the parity of the CFA franc. Appropriately, the authorities have adjusted the prices of petroleum products and tariffs of public utilities while generally allowing other domestic prices to reflect the parity change; but consistent with the intent to promote a liberal market economy and pricing system, there is need to reassess soon the rationale for keeping certain commodities under price surveillance and profit regulations. In the same vein, timely promulgation of the new labor code and the hydrocarbon law is essential.

The adjustment effort has indeed only just begun. For it to stay on course, all elements of the program for 1994 have to be implemented rigorously. This is a condition for establishing policy credibility and for the Government to gain the confidence of its social partners, as well as that of the international financial community, and to consolidate their support. Considerable resolve, in particular, will need to be brought to downsizing the civil service and cleaning the payroll of irregularities while maintaining a tight wage policy. At stake is the Treasury's ability to meet its financial obligations, including making salary payments on schedule, which is essential to foster positive expectations. As important is the example that government wage policy will provide to the entire public sector where the need for rationalizing costs, holding the line on wages, and preserving gains in competitiveness is even greater. It is also imperative that the authorities apply strictly the policy discipline and expenditure controls that have been put in place. In any event, the fiscal situation leaves no room for expenditure slippages.

On revenue, the staff recognizes that the move to a new indirect tax and external tariff structure carries some downside risks for the 1994 budget, compounding those associated with the uncertainties surrounding oil export prices and the effect of the tax administration measures that are being put in place. Overall revenue performance, therefore, will have to be monitored closely, and timely compensating adjustments made to protect the fiscal and external targets as well as other critical objectives of the program. The authorities should take full advantage of the technical assistance that they have requested from the Fund to put in place the newly agreed system of indirect domestic taxation, including a value-added tax to complement the new external tariffs.

The program of expenditure rationalization and fiscal consolidation is certainly the linchpin of the authorities' medium-term adjustment strategy. Prospects for recovery and durable growth, however, very much depend on implementing rapidly, with full rigor and in good sequence, a wide range of reforms to redress deep-rooted structural weaknesses. The authorities' active collaboration with the World Bank and the African Development Bank, and the early start in launching these reforms, augurs well for progress on

these fronts. Essential in this process will be the rebuilding of an efficient transportation network, the delivery of cost-effective utility services, and improved energy distribution--including of refined petroleum products--all of which are presently the domain of structurally weak public monopolies. Thus, the restructuring of those monopolies has to proceed expeditiously. Given the inevitable attendant employment losses and other transitory social costs of the adjustment, the safety net components of the program that go beyond temporary price attenuation measures should be developed for timely implementation as well.

In the staff's view, the authorities' program for 1994 and beyond is appropriately bold and ambitious. If implemented with determination and adapted swiftly to contingencies, including through adjustments in public expenditure, the Congo's fiscal and external payments outlook should improve significantly over the medium term. However, the Congo will need exceptional financial assistance and debt relief on a large scale in support of its program, especially in 1994. The authorities have already taken the steps necessary for the regularization of the Congo's relations with its external creditors, and in particular to eliminate arrears to multilateral institutions, including the World Bank and AfDB. This, together with a demonstrated steadfastness in policy implementation, should restore access to the financial support of the international financial community. In light of all the above considerations, the staff supports the authorities' request for a stand-by arrangement.

The Congo has introduced certain administrative measures to restrain capital outflows, and the central bank no longer repurchases its notes exported outside the BEAC monetary zone. The staff notes the authorities' intention not to introduce or intensify any exchange restrictions on payments and transfers for current international transactions, and welcomes their intent to consider acceptance of the obligations of Article VIII, Sections 2, 3, and 4 of the Fund's Articles of Agreement as soon as possible.

It is recommended that the next Article IV consultation with the Congo be held on the standard 12-month cycle.

VI. Proposed Decision

The following draft decision is proposed for adoption by the Executive Board:

1. The Government of the Congo has requested a stand-by arrangement for the period from -----, 1994 to -----, 1995 in an amount equivalent to SDR 23.16 million.

2. The Fund approves the stand-by arrangement attached to EBS/94/98.

Table 1. Republic of Congo: Fund Position During Period of Proposed Stand-By Arrangement, 1994-95

	1994			1995	
	Apr. 1 - June 30	July 1 - Sept. 30	Oct. 1 - Dec. 31	Jan. 1 - March 31	Apr. 1 - June 30
Transactions under tranche policies (net)	12.00	3.05	3.05	1.28	1.28
Purchases	12.50	3.55	3.55	1.78	1.78
Ordinary resources	12.50	3.55	3.55	1.78	1.78
Enlarged access resources					
Repurchases	0.50	0.50	0.50	0.50	0.50
Ordinary resources	0.50	0.50	0.50	0.50	0.50
Enlarged access resources	--	--	--	--	--
Transactions under special facilities (net)	--	--	--	--	--
Purchases	--	--	--	--	--
Repurchases	--	--	--	--	--
Fund credit outstanding (end of period)	15.00	18.05	21.10	22.38	23.66
Tranche policies	15.00	18.05	21.10	22.38	23.66
Special facilities	--	--	--	--	--
Fund credit outstanding (end of period)					
Tranche policies	25.91	31.17	36.44	38.65	40.86
Special facilities	--	--	--	--	--

Source: Treasurer's Department, International Monetary Fund.

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**Table 2. Republic of Congo: Schedule of Purchases
Under the Proposed Stand-By Arrangement, 1994-95**

(In millions of SDRs)

Scheduled availability date	Amount	Conditions
April 1994	12.50	Executive Board approval of the arrangement
On or after August 15, 1994	3.55	Observance of performance criteria for end-June 1994
On or after November 15, 1994	3.55	Observance of performance criteria for end-September 1994 and completion of review
On or after February 15, 1995	1.78	Observance of performance criteria for end-December 1994
On or after May 15, 1995	1.78	Observance of performance criteria for end-March 1995
Total amount of arrangement	23.16	

Source: Appendix I.

Table 3. Republic of Congo: Selected Economic Indicators, 1989-96

	1989	1990	1991	1992 Est.	1993 Prel.	1994 Program	1995	1996 Proj.
(Annual percentage change) 1/								
National income and prices								
GDP at 1978 prices	2.6	1.0	1.5	2.6	-1.5	-2.4	3.29	7.47
Oil sector GDP at 1978 prices	18.7	0.1	0.0	10.5	13.8	-8.3	0.08	14.30
Non-oil GDP at 1978 prices	-1.6	1.3	2.0	0.2	-6.7	0.0	4.50	5.00
Oil output (barrels)	6.7	4.9	1.6	7.9	9.3	-8.3	0.1	14.3
GDP deflator	12.1	1.3	-5.3	-5.2	-5.4	27.4	6.6	5.1
Consumer prices (high-income ho	4.0	2.6	1.5	2.2	1.6	40.3	3.5	2.1
External sector								
Exports, f.o.b. (in SDRs)	-332.9	13.1	-21.0	4.3	-5.3	-21.5	15.7	21.1
Of which: petroleum	(-218.2)	(13.2)	(-17.2)	(8.0)	(-3.3)	(-25.3)	(14.1)	(21.3)
Imports, f.o.b. (in SDRs)	-646.1	-3.3	-4.3	-13.9	14.5	9.2	9.3	6.9
Export volume	25.6	0.4	-17.3	5.3	1.0	0.7	4.9	15.2
Import volume	-3.3	-7.9	-1.9	-13.7	21.5	12.3	2.5	4.4
Terms of trade (deterioration -)	10.4	7.2	-2.0	-0.7	-0.5	-22.7	7.4	2.7
Effective exchange rate (depreciation -)								
Real 2/	-0.55	-5.20	3.95	0.75	-4.68	-33.18	0.70	3.09
Nominal 2/	-0.53	2.89	-1.15	1.07	-0.39	1.30	1.20	1.34
Government budget								
Revenue and grants	33.2	24.8	-6.1	-11.0	-19.8	73.3	13.0	18.1
Expenditure and net lending	--	7.1	16.3	5.5	-9.0	32.5	4.1	-2.0
(In percent of beginning-of-period money supply)								
Money and credit								
Domestic credit	13.5	-3.9	3.4	7.3	14.0	5.7	...	...
Government (net)	67.2	-17.6	7.4	35.5	13.0	-6.8	...	...
Private sector	-1.2	2.5	1.9	-3.9	15.0	18.8	...	...
Broad money (M2)	3.7	18.5	-4.2	9.9	-4.6	12.5	...	...
Velocity (non-oil GDP/M2, end	4.1	3.7	3.5	4.6	4.0	4.4	...	...
Interest rate (1-2 year time dep	8.00	7.75	7.75	7.75	7.75	9.00	...	...
(In percent of GDP)								
Government budget								
Revenue and grants	22.0	26.9	26.3	24.0	20.7	28.8	29.6	30.9
Of which: non-oil revenue	(10.9)	(11.2)	(12.5)	(11.9)	(13.3)	(17.6)	(17.5)	(16.7)
Expenditure and net lending	32.3	33.8	40.9	44.3	43.3	46.1	43.6	37.9
Of which: interest	(7.4)	(10.1)	(9.0)	(10.0)	(9.5)	(13.2)	(13.0)	(11.3)
Deficit on commitment basis excl	-10.2	-6.9	-14.8	-20.3	-22.6	-18.6	-15.3	-8.1
Primary balance	-2.9	2.8	-5.8	-10.3	-13.2	-5.4	-2.3	3.2
Domestic financing (net)	2.4	0.7	6.9	10.1	7.3	-0.7	-0.6	0.0
Foreign financing (net)	7.9	6.2	7.7	10.3	15.3	-151.8	-12.9	-13.4
Financing gap	--	--	--	--	--	169.8	27.6	20.3
Gross domestic investment	13.7	16.4	20.0	16.7	18.8	33.5	34.3	33.7
Gross national saving	11.5	7.5	0.4	4.1	1.6	8.4	17.8	21.2
Gross domestic saving	22.4	23.3	14.4	17.7	14.9	27.0	37.5	39.9
Resource balance (surplus = -)	-8.7	-6.9	5.5	-1.0	3.9	6.5	-3.2	-6.2
External current account deficit								
Excluding official transfers	-6.1	-11.0	-21.9	-14.2	-19.8	-28.2	-17.8	-13.7
Including official transfers	-2.2	-8.7	-19.8	-12.6	-18.6	-25.1	-16.6	-12.5
External public debt								
Total debt outstanding (as percent	165.6	152.1	175.1	181.9	215.1	321.7	313.0	289.7
Debt service as percent of exports of goods and nonfactor services, before resch	36.8	40.9	31.4	39.8	40.1	56.6	25.6	22.2
(In millions of SDRs)								
Overall balance of payments	-313.0	-258.9	-276.0	-321.5	-322.8	-326.5	-292.9	-237.8
Change in external arrears	270.6	-322.6	251.1	320.9	322.3	(1,363.4)	--	--
Gross official reserves	7.3	7.0	6.1	0.8	3.7	8.9	18.0	28.4

Sources: Data provided by the Congolese authorities; and staff estimates and projections.

1/ Based on values in CFA francs, unless otherwise indicated.

2/ Trade-weighted, annual rates.

3/ Minimum rate on deposits.

Table 4: Republic of Congo: Consolidated Central Government Operations, 1991-97

(In billions of CFA francs)

	1991	1992 Est.	1993 Prel.	1994 Program	1995 Program	1996 Projections	1997 Projections
Revenue and grants	196.0	174.4	139.8	242.3	273.8	323.2	414.1
Petroleum revenue ^{1/}	101.3	88.4	50.0	83.8	100.5	136.8	219.3
Royalties	42.9	40.4	44.1	70.8	90.7	127.7	179.3
Profit taxes	35.4	28.1	0.8	--	--	--	31.5
Bonus	22.9	19.9	5.1	13.0	9.8	9.1	8.5
Nonpetroleum revenue	93.2	86.0	89.7	147.5	161.9	174.6	182.5
Taxes	48.0	43.6	46.8	58.7	69.0	76.1	79.8
Customs duties	33.8	36.9	37.8	63.3	67.2	71.5	75.6
Domestic petroleum taxation	8.1	2.2	1.8	18.0	18.0	19.0	19.0
Nontax revenue ^{2/}	3.3	3.3	3.3	7.5	7.7	8.0	8.2
Grants	1.5	0.0	0.1	11.0	11.4	11.9	12.3
Expenditure and net lending	304.9	321.5	292.5	387.6	403.6	395.5	376.8
Current expenditure	280.5	281.7	270.9	305.3	318.6	317.7	296.1
Noninterest current expenditure	213.2	209.1	206.9	194.0	198.3	200.0	201.4
Personnel	130.0	135.0	136.1	122.0	122.0	122.0	122.0
Of which: employers' contributions	(14.0)	(15.1)	(15.2)	(...)	(...)	(...)	(...)
Other current budget expenditure	73.0	64.0	63.3	72.0	76.3	78.1	79.5
Materials and supplies	...	10.8	5.5	17.0	21.4	23.1	24.5
Common charges ^{3/}	...	8.7	9.0	10.0	10.0	10.0	10.0
Transfers ^{4/}	...	44.6	48.8	45.0	45.0	45.0	45.0
Of which: payment advances	(...)	(14.8)	(16.1)	(--)	(--)	(--)	(--)
Extrabudgetary	10.2	10.1	7.5	--	--	--	--
Autonomous agencies	5.6	5.3	3.7	--	--	--	--
Deficit of local authorities	4.7	4.7	3.8	--	--	--	--
Interest	67.3	72.6	64.0	111.3	120.2	117.6	94.7
Internal	6.1	6.0	9.5	8.1	7.1	6.2	5.4
External	61.2	66.6	54.5	103.1	113.1	111.4	89.3
Capital expenditure	6.9	5.9	12.7	67.3	70.0	72.8	75.7
Cost of structural reforms	7.5	26.1	1.1	15.0	15.0	5.0	5.0
Net lending	10.0	7.8	7.8	--	--	--	--
On-lending	10.0	7.8	0.6	--	--	--	--
Service paid by public enterprises	--	--	--	-12.6	-10.0	-6.4	-5.5
Service due on guaranteed debt	--	--	7.1	12.6	10.0	6.4	5.5
Deficit on commitment basis	-108.9	-147.1	-152.7	-145.3	-129.8	-72.3	37.3
Financing	108.9	147.9	152.7	(1,281.2)	-125.4	-139.5	-121.5
External (net)	57.5	74.5	103.1	(1,275.2)	-119.4	-139.5	-121.5
Borrowing (nonprogram)	4.3	--	--	49.4	51.3	53.4	55.5
Program loans	2.4	--	--	--	--	--	--
Rescheduling obtained	44.2	--	--	--	--	--	--
Amortization due on medium-term debt	-85.3	-78.6	-76.9	-127.8	-140.2	-158.8	-143.1
Change in arrears	96.9	119.6	128.8	(1,146.0)	--	--	--
Of which: multilateral	(24.7)	(16.3)	(17.4)	(-123.2)	(--)	(--)	(--)
Other	-5.0	33.5	50.6	-50.8	-30.5	-34.1	-33.9
Of which: short-term and collateralized borrowing	(...)	(...)	(77.4)	(--)	(--)	(--)	(--)
service on short-term and collateralized borrowing	(...)	(...)	(-26.8)	(-50.8)	(-30.5)	(-34.1)	(-33.9)
Domestic	51.5	73.4	49.6	-6.0	-6.0	--	--
Central bank	9.6	21.8	-4.2	-6.0	-6.0	--	--
Other banks	-2.6	1.2	0.8	--	--	--	--
Change in arrears	50.9	50.3	53.0	--	--	--	--
Other	-6.4	--	--	--	--	--	--
Financing need (-)	--	--	--	1,426.5	255.1	211.8	84.2
Memorandum items:							
Primary balance	-43.2	-74.5	-88.8	-45.0	-21.0	33.5	119.6
GDP	745.9	725.3	675.4	840.0	924.8	1,044.7	1,189.1
As percent of GDP							
Revenue and grants	26.3	24.0	20.7	28.8	29.6	30.9	34.8
Expenditure and net lending	40.9	44.3	43.3	46.1	43.6	37.9	31.7
Deficit on a commitment basis, without grants	-14.8	-20.3	-22.6	-18.6	-15.3	-8.1	2.1
Deficit on a commitment basis, including grants	-14.6	-20.3	-22.6	-17.3	-14.0	-6.9	3.1
Primary balance	-5.8	-10.3	-13.2	-5.4	-2.3	3.2	10.1
Petroleum production ('000 tons)	8,023.6	8,658.0	9,466.3	8,680.7	8,687.7	9,929.9	11,682.2
Export price: petroleum (US\$/bbl)	15.1	17.1	14.3	11.5	13.0	13.8	14.7

Sources: Congolese Treasury; BEAC; Caisse Centrale d'Amortissement; and staff estimates and projections.

^{1/} Based on production projections as of end-January 1994.

^{2/} Revenue from property and services, and other exceptional receipts.

^{3/} Includes allocation for consumption of public utilities services.

^{4/} Includes subsidy to CORAF.

Table 5. Republic of Congo: Summary Balance of Payments, 1991-97

(In billions of CFA francs)

	1991	1992	1993 Prel.	1994 Program	1995	1996 Projections	1997 Projections
Trade balance	172.9	198.7	177.2	200.6	254.1	362.1	518.4
Exports, f.o.b.	312.4	314.7	319.7	527.6	613.2	749.7	939.6
Of which: petroleum	(247.3)	(257.9)	(267.7)	(420.4)	(482.1)	(590.6)	(747.3)
Imports, f.o.b.	-139.5	-116.0	-142.5	-326.9	-359.1	-387.6	-421.2
Services (net)	-319.2	-285.1	-293.9	-419.8	-399.4	-486.5	-605.8
Of which: interest on public debt 1/	(-48.3)	(-56.8)	(-52.6)	(-114.9)	(-125.4)	(-122.0)	(-98.1)
Transfers (net)	-1.3	-4.9	-9.0	8.0	-8.1	-6.5	-6.3
Private	-16.9	-16.7	-17.0	-18.0	-19.5	-18.4	-18.6
Public	15.6	11.8	8.0	26.0	11.4	11.9	12.3
Current account							
Excluding public transfers	-163.2	-103.0	-133.7	-237.2	-164.9	-142.8	-105.9
Including public transfers	-147.6	-91.2	-125.7	-211.2	-153.5	-130.9	-93.6
Capital account	11.3	-40.5	-51.2	-63.3	-93.9	-71.9	9.5
Medium- and long-term capital (net)	-30.3	-66.8	-57.7	-162.2	-137.9	-138.5	-77.1
Public sector (net)	-55.6	-67.7	-84.3	-130.0	-117.1	-135.4	-118.4
Of which: scheduled amortization	(-59.2)	(-76.6)	(-84.9)	(-179.4)	(-168.4)	(-188.8)	(-173.9)
Private sector (net)	25.3	0.9	26.6	-32.2	-20.8	-3.1	41.3
Short-term capital (net) 2/	41.6	26.3	6.5	98.9	44.0	66.6	86.3
Errors and omissions	29.8	11.9	48.7	--	--	--	--
Overall balance	-106.5	-119.8	-128.2	-274.4	-247.4	-202.8	-84.2
Financing	106.5	119.8	128.2	(1,152.0)	-7.7	-9.0	--
Changes in net foreign assets							
of the BEAC (increase -)	9.6	0.2	-0.7	-6.0	-7.7	9.0	--
Of which: IMF, net	(-1.4)	(0.0)	(-0.2)	(-1.7)	(-1.3)	--	(--)
Change in arrears	96.9	119.6	128.9	(1,146.0)	--	--	--
Financing gap	--	--	--	1426.5	255.1	211.8	84.2
<u>Memorandum items:</u>							
Gross official reserves (end of period)	2.3	2.9	1.5	7.5	15.2	24.2	24.2
Gross official reserves in weeks							
of imports, c.i.f.	0.8	0.8	0.2	1.0	1.6	2.3	2.1
Current account (as percentage of GDP)							
Excluding public transfers	-21.9	-14.2	-19.8	-28.2	-17.8	-13.7	-8.9
Including public transfers	-19.8	-12.6	-18.6	-25.1	-16.6	-12.5	-7.9
Current account of non-oil sector							
Adjusted for transfers from oil sector							
(as percentage of non-oil GDP) 3/	-4.0	-8.9	-17.4	-19.2	-13.8	-0.2	22.1

Sources: Data provided by the Congolese authorities; and staff estimates and projections.

1/ Service on current and projected loans and on the financing required to close the balance of payments gaps.

2/ Including cash-flow transfers abroad by petroleum companies.

3/ Including public transfers and excluding interest due on reschedulings for 1994-97.

Table 6. Republic of Congo: Summary Balance of Payments, 1991-97

(In millions of SDRs)

	1991	1992	1993 Prel.	1994 Program	1995	1996 Projections	1997 Projections
Trade balance	448.1	533.2	443.1	238.7	300.8	424.6	602.7
Exports, f.o.b.	809.6	844.4	799.4	627.6	726.0	879.1	1092.3
Of which: petroleum	640.8	692.0	669.3	500.2	570.9	692.5	868.8
Imports, f.o.b.	-361.5	-311.3	-356.4	-389.0	-425.2	-454.5	-489.6
Services (net)	-827.2	-764.9	-735.0	-499.4	-473.0	-570.5	-704.2
Of which: interest on public debt ^{1/}	-125.2	-152.4	-131.5	-136.7	-148.5	-143.1	-114.0
Transfers (net)	-3.4	-13.1	-22.5	9.5	-9.6	-7.6	-7.3
Private	-43.8	-44.8	-42.5	-21.4	-23.1	-21.5	-21.6
Public	40.4	31.7	20.0	30.9	13.5	14.0	14.3
Current account							
Excluding public transfers	-422.9	-276.5	-334.4	-282.2	-195.2	-167.5	-123.2
Including public transfers	-382.4	-244.8	-314.4	-251.2	-181.7	-153.5	-108.9
Capital account	29.2	-108.7	-128.0	-75.3	-111.2	-84.3	11.0
Medium- and long-term capital (net)	-78.6	-179.2	-144.3	-192.9	-163.3	-162.4	-89.6
Public sector (net)	-144.1	-181.7	-210.8	-154.7	-138.7	-158.8	-137.6
Of which: scheduled amortization	-153.4	-205.5	-212.3	-213.4	-199.4	-221.4	-202.2
Private sector (net)	65.6	2.4	66.5	-38.3	-24.6	-3.6	48.0
Short-term capital (net) ^{2/}	107.8	70.6	16.3	117.6	52.1	78.1	100.4
Errors and omissions	77.2	32.0	121.9	--	--	--	--
Overall balance	-276.0	-321.5	-320.6	-326.5	-292.9	-237.8	-97.8
Financing	276.0	321.5	320.6	-1370.6	-9.1	-10.6	--
Changes in net foreign assets							
of the BEAC (increase -)	24.9	0.5	-1.8	-7.2	-9.1	10.6	--
Of which: IMF, net	-3.6	0.0	-0.5	-2.0	-1.5	--	--
Change in arrears	251.1	320.9	322.3	-1363.4	--	--	--
Financing gap	--	--	--	1697.1	302.1	248.4	97.8
Memorandum items:							
Gross official reserves (end of period)	5.8	7.9	3.7	8.9	18.0	28.4	28.2
Gross official reserves in weeks							
of imports, c.i.f.	0.8	0.8	0.2	1.0	1.6	2.3	2.1
Current account (as percentage of GDP)							
Excluding public transfers	-21.9	-14.2	-19.8	-28.2	-17.8	-13.7	-8.9
Including public transfers	-19.8	-12.6	-18.6	-25.1	-16.6	-12.5	-7.9
Current account of non-oil sector							
Adjusted for transfers from oil sector							
(as percentage of non-oil GDP) ^{3/}	-4.0	-8.9	-17.4	-19.2	-13.8	-0.2	22.1

Sources: Data provided by the Congolese authorities; and staff estimates and projections.

^{1/} Service on current and projected loans and on the financing required to close the balance of payments gaps.

^{2/} Including cash-flow transfers abroad by petroleum companies.

^{3/} Including public transfers and excluding interest due on reschedulings for 1994-97.

Table 7. Republic of Congo: Monetary Survey, 1992-94

	1992 Dec. 1/	1993 Dec. Prel. 2/	1993 Dec. Adj. 3/	1994 Program			
				March	June	Sept.	Dec.
(In billions of CFA francs; end of period)							
Foreign assets (net)	-4.6	-2.0	-3.9	-3.9	-3.9	-0.9	2.1
Net domestic assets	134.8	126.2	128.1	132.0	135.9	136.8	137.9
Domestic credit	146.2	166.7	172.1	176.0	179.9	180.8	181.9
Claims on Government (net)	74.6	84.3	88.0	88.0	88.0	85.0	82.0
Claims on private sector	71.6	82.4	84.1	88.0	91.9	95.8	99.9
Other items (net)	-11.5	-40.5	-44.0	-44.0	-44.0	-44.0	-44.0
Broad money	130.2	124.2	124.2	128.1	132.0	135.9	139.7
Money	103.7	95.8	--	...	...	...	...
Quasi-money	26.5	28.5	--	...	...	...	...
Memorandum items:							
Nominal GDP	725.3	675.4	675.4	...	...	...	840.0
Velocity 4/	3.42	4.05	4.05	...	...	...	4.48
(Percentage change; relative to beginning of year)							
Broad money	9.9	-4.6	-4.6	3.1	6.2	9.4	12.5
Net domestic assets	6.8	-6.4	-4.9	3.0	6.1	6.7	7.7
Domestic credit	7.3	14.0	17.7	2.3	4.5	5.0	5.7
Government (net)	35.5	13.0	18.0	--	--	-3.4	-6.8
Private sector	-3.9	15.0	17.4	...	...	...	18.8
(In percent of beginning-of-period money supply)							
Net foreign assets	2.3	2.0	0.5	--	--	2.4	4.8
Net domestic assets	7.6	-6.6	44.9	3.1	6.2	7.0	7.9
Domestic credit	10.4	15.7	19.9	3.1	6.2	7.0	7.9
Government (net)	14.3	7.4	10.3	--	--	-2.4	-4.8
Private sector	-3.9	8.3	9.6	3.1	6.1	8.8	11.6

Sources: Data provided by the Congolese authorities; and staff estimates and projections.

1/ Data adjusted for banks in liquidation. Growth rates are based on unadjusted series.

2/ Growth rates based on data adjusted for banks in liquidation.

3/ Adjusted to reflect change in parity.

4/ Defined as the ratio of nominal non-oil GDP to average beginning- and end-of-period money supply.

Table 8. Republic of Congo: Capacity to Repay, 1994–2005

	1994	1995	1996	1997	1998	1999	2000	2001	2002	2003	2004	2005
(In billions of CFA francs)												
Government operations												
Total noninterest expenditures	324.6	358.8	401.0	494.9	582.6	632.0	653.5	661.4	684.6	709.4	736.0	764.5
Total revenue and grants	242.3	273.8	323.2	414.1	498.8	543.2	558.8	565.2	581.6	599.1	617.9	638.0
Petroleum revenue	83.8	100.5	136.8	219.3	289.7	321.2	321.2	321.2	321.2	321.2	321.2	321.2
Overall balance, excluding grants	-145.3	-129.8	-72.3	37.3	23.3	64.8	86.0	84.2	91.8	114.2	120.9	126.3
Accumulation of gross assets	--	--	--	--	--	--	--	16.2	49.4	82.4	113.9	133.7
Debt												
Outstanding stock of debt 1/	2,702.1	2,894.2	3,026.2	3,046.1	2,952.3	2,812.1	2,645.2	2,490.2	2,355.0	2,224.2	2,111.5	2,006.2
Total debt service due 2/	1,489.6	347.8	366.3	326.1	315.2	299.5	299.1	243.5	211.4	198.3	167.1	152.4
Of which: arrears	(1,146.0)	(...)	(...)	(...)	(...)	(...)	(...)	(...)	(...)	(...)	(...)	(...)
Total debt service 3/	322.5	170.1	180.4	168.9	315.2	299.5	299.1	243.5	211.4	198.3	167.1	152.4
Of which: nonreschedulable arrears	(226.8)	(...)	(...)	(...)	(...)	(...)	(...)	(...)	(...)	(...)	(...)	(...)
National accounts												
Gross domestic product	840.0	924.8	1,044.7	1,189.1	1,242.1	1,298.8	1,359.5	1,424.6	1,494.2	1,568.9	1,648.8	1,734.4
Of which: non-oil	(590.8)	(639.0)	(693.1)	(745.8)	(798.8)	(855.5)	(916.2)	(981.3)	(1,050.9)	(1,125.5)	(1,205.4)	(1,291.0)
Adjusted non-oil current account 4/	-113.5	-88.2	-1.4	165.0	221.1	290.6	325.4	359.3	394.2	417.0	445.2	468.6
(In percent of non-oil GDP, unless otherwise noted)												
Government operations												
Total noninterest expenditure	46.8	44.3	40.1	37.8	36.2	34.6	34.3	33.8	33.8	32.3	32.3	32.3
Total revenues and grants	41.0	42.8	46.6	55.5	62.4	63.5	61.0	57.6	55.3	53.2	51.3	49.4
Petroleum revenue	14.2	15.7	19.7	29.4	36.3	37.6	35.1	32.7	30.6	28.5	26.6	24.9
Overall balance, excluding grants	-24.6	-20.3	-10.4	5.0	2.9	7.6	9.4	8.6	8.7	10.1	10.0	9.8
Stock of gross assets (as percent of current noninterest expenditure)	--	--	--	--	--	--	--	7.4	27.8	58.7	103.4	145.8
Debt and saving												
Adjusted non-oil gross domestic saving 4/	7.7	13.2	22.1	39.1	48.0	51.2	49.6	48.3	47.2	45.1	43.1	41.3
Adjusted non-oil current account 4/	-19.2	-13.8	-0.2	22.1	27.7	34.0	35.5	36.6	37.5	37.1	36.9	36.3
Non-oil sector net capital outflows	-4.6	-5.0	7.0	14.7	13.7	11.8	13.0	7.2	4.2	3.0	0.7	-0.6
Stock of debt 1/	457.4	452.9	436.6	408.4	369.6	328.7	288.7	253.8	224.1	197.6	175.2	155.4
(In percent of non-oil exports of goods and nonfactor services plus oil sector transfers)												
Debt service due 2/	654.3	125.8	104.5	68.3	54.2	46.1	43.9	34.0	27.9	25.2	20.5	17.9
Debt service 3/	141.7	61.5	51.5	35.4	54.2	46.1	43.9	34.0	27.9	25.2	20.5	17.9
(in percent of total government revenue and grants)	(133.1)	(62.1)	(55.8)	(40.8)	(63.2)	(55.1)	(53.5)	(43.1)	(36.4)	(33.1)	(27.0)	(23.9)
Memorandum items:												
(In percent of non-oil GDP, unless otherwise noted)												
Downside scenario 5/												
Government overall balance, excluding grants	-24.6	-20.3	-10.4	4.0	-6.6	-3.5	2.7	2.1	2.4	4.0	4.2	4.3
Stock of debt 1/	457.4	452.9	436.6	408.4	378.4	346.3	307.5	273.9	248.0	222.5	198.4	177.1
Debt service (in percent of exports of goods and nonfactor services plus oil sector transfers) 3/	141.7	61.5	51.5	35.4	60.7	52.6	46.7	36.0	29.5	26.6	21.5	18.8

Source: Staff projections.

1/ Includes capitalized arrears.

2/ Before rescheduling, including arrears at end-1993 and including debt service due on rescheduling for 1994.

3/ After rescheduling on conventional terms for 1994–97.

4/ Adjusted for transfer of resources from oil sector.

5/ Based on assumption of a fall in oil prices by US\$2 per barrel relative to baseline beginning in 1996.

Table 9. Republic of Congo: Arrears and Debt Service Payments on Medium- and Long-Term Public Debt, 1993-97

(In billions of CFA francs)

	Debt Stock 2/	End-1993 1/			1994			1995			1996			1997		
		Principal	Arrears Interest	Total	Principal	Interest	Total	Principal	Interest	Total	Principal	Interest	Total	Principal	Interest	Total
Total	2,551.6	643.4	395.6	1,146.0	179.5	164.0	343.5	168.4	186.7	355.1	188.9	199.9	388.8	173.9	189.3	363.2
Multilateral	342.2	59.2	64.0	123.2	22.0	14.5	36.5	21.5	13.5	35.0	19.4	12.8	32.2	21.9	10.4	32.3
Of which: IMF 3/	(2.8)	(--)	(--)	(--)	(1.6)	(0.7)	(2.3)	(1.2)	(1.2)	(2.4)	(--)	(1.2)	(1.2)	(2.4)	(1.1)	(3.5)
Official bilateral	1,538.6	355.8	272.2	628.0	115.9	76.3	192.2	126.9	66.0	192.9	144.7	54.1	198.8	125.8	43.7	169.5
Paris Club	1,423.0	297.8	258.6	556.4	111.6	75.6	187.2	120.6	65.4	186.0	139.1	53.7	192.8	120.9	43.4	164.3
Pre-cutoff-date	1,134.8	244.6	208.2	452.8	90.6	65.4	156.0	103.7	56.6	160.3	122.5	46.9	169.4	102.4	36.1	138.5
Previously rescheduled (1986) 4/	315.6	125.2	55.2	180.4	52.2	10.5	62.7	40.0	6.2	46.2	28.5	3.3	31.8	14.3	0.7	15.0
Previously rescheduled (1990)	564.8	0.0	113.0	113.0	0.0	47.1	47.1	39.7	47.1	86.8	79.3	41.6	120.9	79.3	34.1	113.4
Not previously rescheduled	254.4	119.4	40.0	159.4	38.4	7.8	46.2	24.0	3.3	27.3	14.7	2.0	16.7	8.8	1.3	10.1
Post-cutoff-date 4/	288.2	53.2	50.4	103.6	21.0	10.2	31.2	16.9	8.8	25.7	16.6	6.8	23.4	18.5	7.3	25.8
Non-Paris Club	115.6	58.0	13.6	71.6	4.3	0.7	5.0	6.3	0.6	6.9	5.6	0.4	6.0	4.9	0.3	5.2
Commercial banks	282.8	188.6	44.8	233.4	--	--	--	--	--	--	--	--	--	--	--	--
Securitized loans	203.8	--	--	--	41.6	9.2	50.8	20.0	10.5	30.5	24.8	9.3	34.1	26.2	7.8	34.0
Nonguaranteed loans	76.8	39.8	14.6	54.4	--	--	--	--	--	--	--	--	--	--	--	--
Brazzaville Club	107.4	--	--	107.0	--	--	--	--	--	--	--	--	--	--	--	--
New loans	--	--	--	--	--	5.4	5.4	--	11.4	11.4	--	17.8	17.8	--	6.8	6.8
Financing gap	--	--	--	--	--	14.5	14.5	--	28.9	28.9	--	34.3	34.3	--	34.4	34.4
Rescheduling (Paris Club)	--	--	--	--	--	41.6	41.6	--	52.3	52.3	--	64.3	64.3	--	75.5	75.5
Rescheduling (securitized debt)	--	--	--	--	--	2.5	2.5	--	4.1	4.1	--	7.3	7.3	--	10.7	10.7
Memorandum item:																
Reschedulable 5/	--	--	--	919.2	136.5	75.3	211.8	130.0	67.7	197.7	152.9	56.6	209.5	133.5	44.2	177.7

Sources: Data provided by the Congolese authorities; and staff estimates.

1/ Valued at the new parity rate.

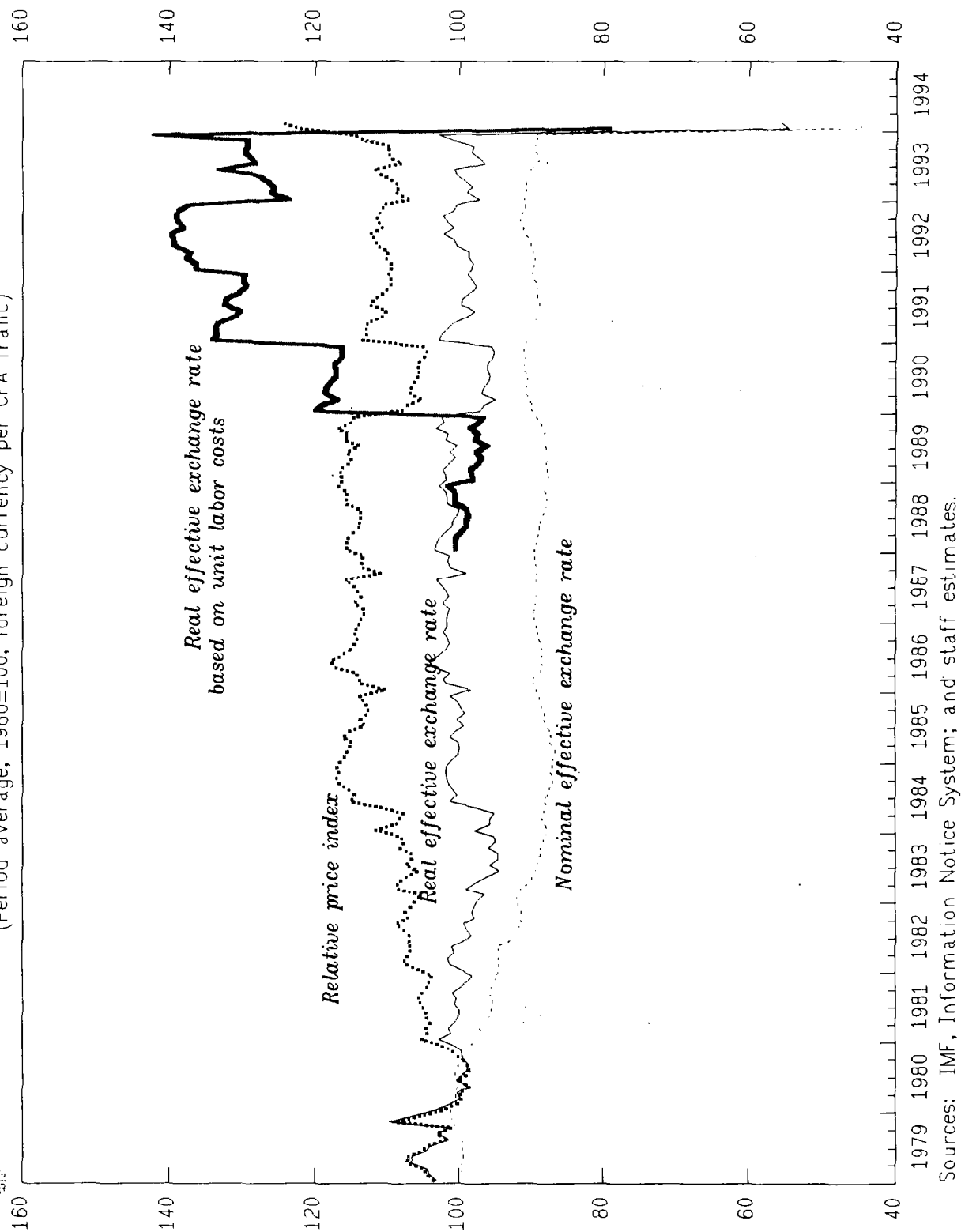
2/ Includes arrears.

3/ Includes repurchases and Trust Fund repayments.

4/ Includes guaranteed commercial and suppliers' credits.

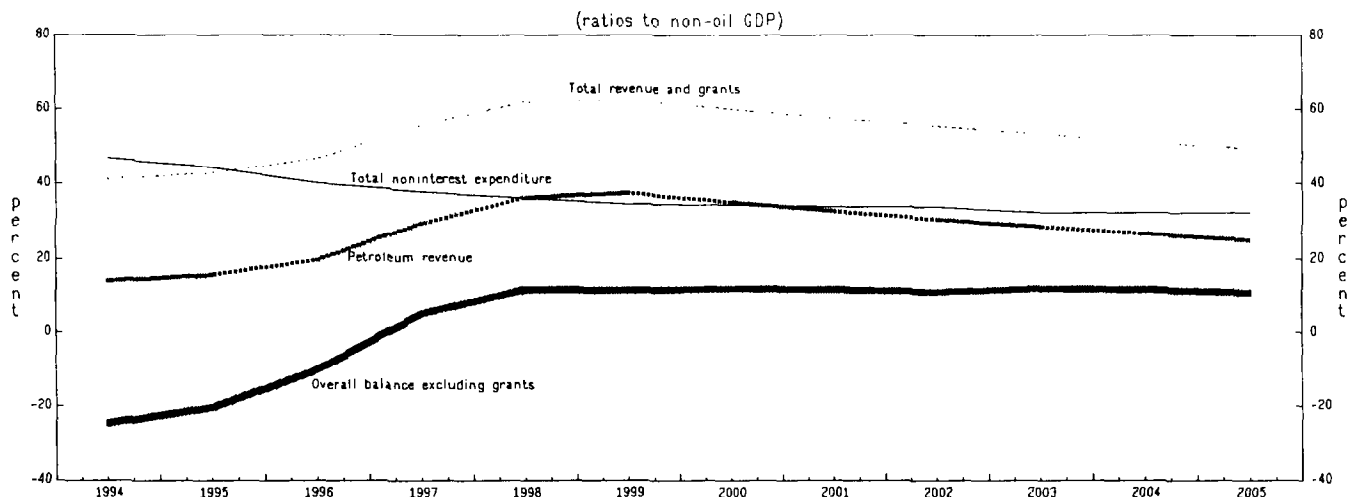
5/ Including renegotiation and restructuring.

CHART 1
REPUBLIC OF CONGO
EXCHANGE RATE AND RELATIVE PRICE INDICES, JANUARY 1979 - JANUARY 1994
(Period average, 1980=100; foreign currency per CFA franc)

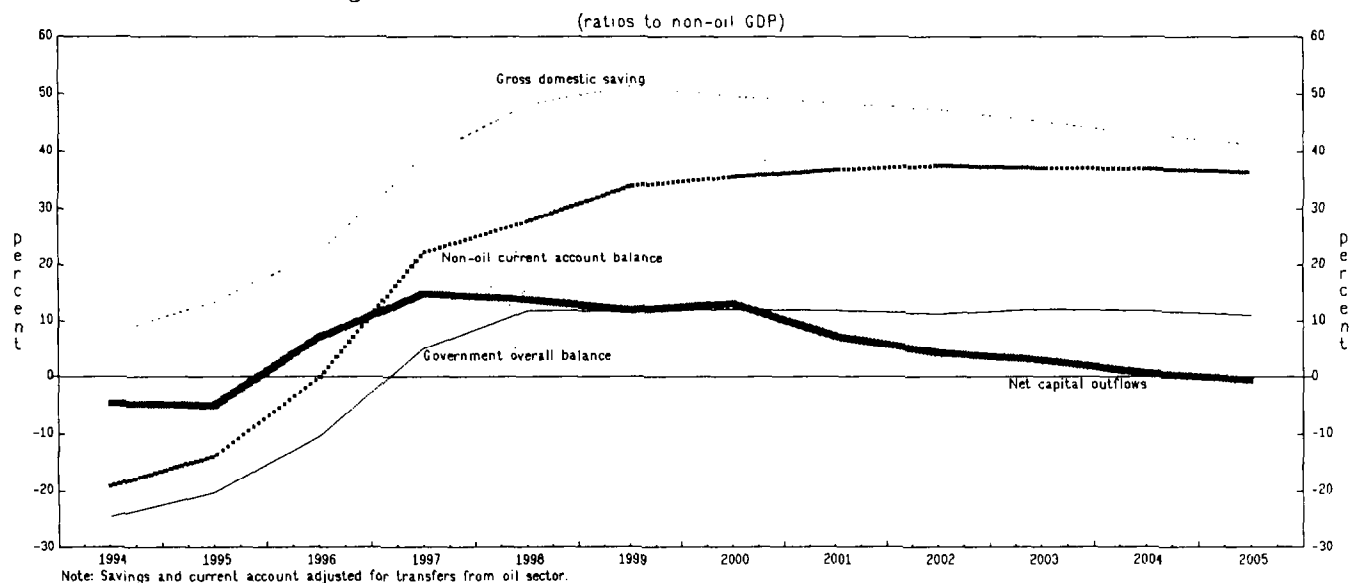


- 28b -

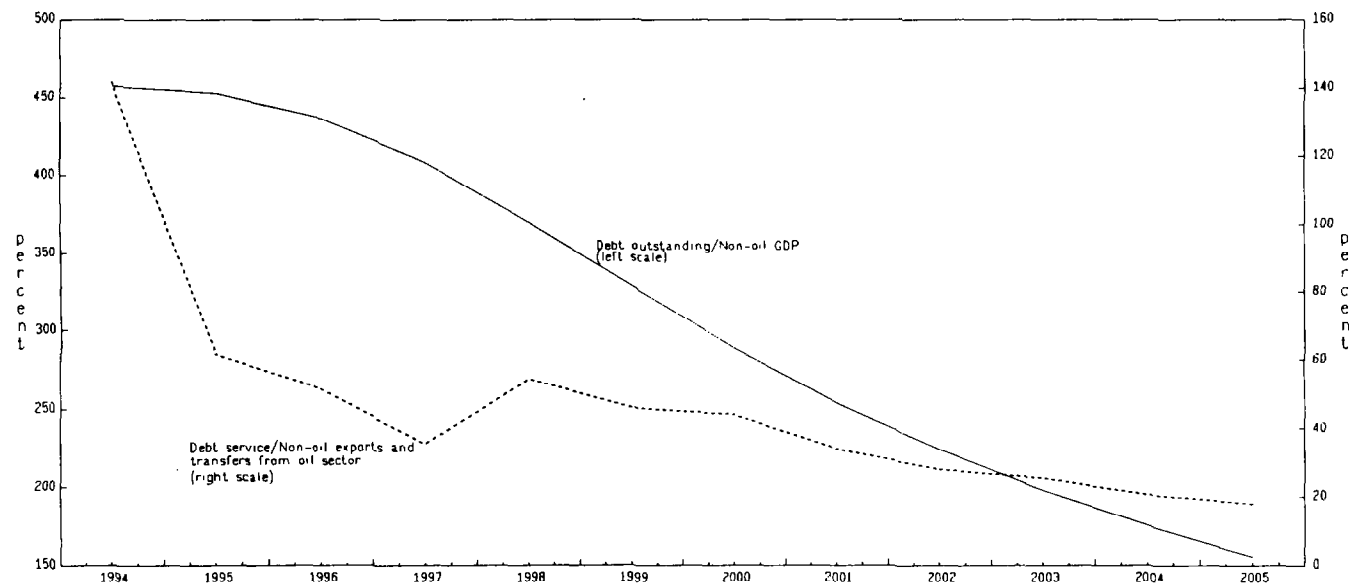
CHART 2 REPUBLIC OF CONGO Government Operations: 1994-2005



Domestic Saving and External Balance; Non-Oil Sector: 1994-2005



Debt and Debt Service Ratios: 1994-2005



Republic of Congo - Fund Relations

(As of March 31, 1994)

I. Membership Status: Joined 7/10/63; Article XIV

II. <u>General Resources Account</u> :	<u>SDR Million</u>	<u>% Quota</u>
Quota	57.90	100.0
Fund holdings of currency	60.43	104.4
Reserve position in Fund	.47	.8

III. <u>SDR Department</u> :	<u>SDR Million</u>	<u>% Allocation</u>
Net cumulative allocation	9.72	100.0
Holdings	.04	.4

IV. <u>Outstanding Purchases and Loans</u> :	<u>SDR Million</u>	<u>% Quota</u>
Stand-by arrangements	3.00	5.2

V. Financial Arrangements:

<u>Type</u>	<u>Approval Date</u>	<u>Expira- tion Date</u>	<u>Amount Approved (SDR Million)</u>	<u>Amount Drawn (SDR Million)</u>
Stand-by	8/27/90	5/26/92	27.98	4.00
Stand-by	8/29/86	4/28/88	22.40	9.50
Stand-by	4/25/79	4/24/80	4.00	2.00

VI. Projected Obligations to Fund (SDR Million; based on existing use of resources and present holdings of SDRs):

	<u>Overdue 3/31/94</u>	<u>Forthcoming</u>				
		<u>1994</u>	<u>1995</u>	<u>1996</u>	<u>1997</u>	<u>1998</u>
Principal		1.5	1.5			
Charges/interest		.4	.4	.4	.4	.4
Total	...	1.9	1.9	.4	.4	.4

VII. Exchange Rate Arrangement:

The Congo's currency is the CFA franc, which is pegged to the French franc. The rate was fixed at CFAF 50 = F 1 until January 12, 1994 at which time a new rate of CFAF 100 = F 1 was established.

Republic of Congo - Fund Relations (concluded)

VIII. Article IV Consultations:

- a. Consultations with the Congo are on the standard 12-month cycle.
- b. The last consultation discussions were held during September 15-26, 1991 (SM/91/251) and the consultation was completed by the Executive Board on January 17, 1992 (EBM/92/6).

IX. Technical Assistance:

<u>Subject</u>	<u>Department</u>	<u>Staff Member</u>	<u>Date</u>
Money and Banking (BEAC)	STA	Mr. Garbis Iradian	November 1992
Money and Banking Statistics	STA	Mr. Gérard Raymond	April 1991

X. Resident Representative

None.

Republic of Congo - Relations with the World Bank Group

1. Operations (since 1976)

(In millions of U.S. dollars;
as of December 31, 1993)

<u>Project</u>	<u>Total</u>	<u>Disbursed</u>
Petroleum Sector Technical Assistance, IDA 971-0	5.00	5.00
Second Railway, IDA 1047-0	30.00	29.45
River Transport, IDA 1179-0	17.00	15.76
Second Railway, IBRD 1228-0	38.00	38.00
Second Education, IBRD 1349-0	8.00	8.00
Third Highway, IBRD 2227-0	12.70	12.70
Technical Assistance, IBRD 2285-0	11.00	11.00
Wood Processing, IBRD 2298-0	12.00	11.19
Technical Assistance II, IBRD 2753-0	4.00	3.25
Structural Adjustment Loan, IBRD 2866-0	70.00	70.00
Public Enterprise Institutional Development, IBRD 2868-0	15.20	10.70
National Agricultural Extension, IBRD 3256-0	15.80	--

2. Loan disbursements

Cumulative through end-1982	27.10
Annual disbursements	
FY83	27.10
FY84	19.73
FY85	13.86
FY86	11.08
FY87	11.37
FY88	54.78
FY89	39.64
FY90	1.74
FY91	0.96
FY92	--
FY93	--

3. Relations

Having curtailed its operations for reasons of creditworthiness after the structural adjustment loan was approved in 1987, the Bank resumed lending to the Congo in 1990 with the approval of the National Agricultural Extension and Research Loan. This loan has not been declared effective, as disbursements to the Congo have been suspended since early December 1990 due to the accumulation of arrears vis-à-vis the Bank, estimated at US\$93.0 million as of March 16, 1994.

Republic of Congo - Relations with the World Bank Group (concluded)

The Congo has not had an active program with the World Bank since its suspension in December 1990 and has been in nonaccrual status since September 1991. Recent dialogue between the World Bank and the Congo has led to the establishment of a framework and related program and associated agreed timetable under which the nonaccrual status would be lifted.

In the wake of the devaluation of the CFA franc on January 12, 1994 the World Bank has been considering the Congo's eligibility to draw on IDA credit. The World Bank's proposed work program includes expected fast-disbursing policy-based operations during FY95 and FY96. Project lending is expected to increase beginning in FY96 and will focus on road maintenance and the power sector. Projects are also under consideration in natural resource management, rural infrastructure, telecommunications, population and human resources, water supply, urban sanitation, and transport.

Republic of Congo – Basic Data

Area, population, and GDP per capita

Area	342,000 square kilometers
Population: Total (1993 estimate)	2.52 million
Growth rate	2.8 percent
GDP per capita (1993 estimate)	SDR 675

	<u>1990</u>	<u>1991</u>	<u>1992</u>	<u>1993</u> Prel.	<u>1994</u> Prog.
<u>National accounts</u>					
	(In billions of CFA francs)				
Nominal GDP	776.10	745.90	725.30	675.40	839.96
Sectoral shares in real GDP:					
	(In percent of GDP)				
Agriculture and forestry	9.91	9.76	9.89	9.86	...
Industry and utilities	9.63	10.22	10.15	10.42	...
Petroleum sector	27.24	21.29	20.47	23.72	...
Construction and public works	1.44	1.46	1.30	1.04	...
Public administration	13.71	17.74	18.52	17.50	...
Other services	32.07	34.20	34.12	32.66	...
Investment 1/	16.42	19.55	16.85	18.84	33.48
Gross domestic saving 1/	23.27	14.45	17.74	14.95	26.96
(Annual percentage change)					
Real GDP	1.01	1.49	2.59	-1.55	-2.42
Nominal GDP	2.36	-3.89	-2.76	-6.88	24.36
Prices					
GDP deflator	1.34	-5.30	-5.22	-5.42	27.45
Consumer prices 2/	2.62	1.52	2.19	1.60	...
<u>Central government operations</u>					
	(In billions of CFA francs)				
Current revenue	208.57	195.96	174.37	139.78	242.27
Of which: oil revenue	(121.97)	(102.76)	(88.35)	(50.10)	(94.76)
Grants	0.00	1.50	0.00	0.09	10.98
Total expenditure and net lending	262.10	304.88	321.51	292.49	387.59
Current	227.10	280.49	281.75	270.86	305.26
Capital and net lending	32.40	16.90	13.67	20.50	67.33
Overall surplus or deficit (-)					
(commitment basis)	-53.53	-108.92	-147.13	-152.71	-145.32
Overall surplus or deficit (-)					
(cash basis)	-192.23	38.84	22.80	29.13	-145.32
Foreign financing (net)	177.69	-39.45	-45.13	-25.70	-139.32
Domestic borrowing (net)	14.50	0.60	23.05	-3.41	-6.00
Of which: from the banking system	(12.60)	(13.80)	(1.90)	(-13.40)	(7.00)

1/ As a percentage of nominal GDP.

2/ European consumption basket for the city of Brazzaville.

Republic of Congo – Basic Data (continued)

	1990	1991	1992	1993 Prel.	1994 Prog.
<u>Money and credit</u>					
	(In percent of beginning-of-period money stock)				
Domestic credit	-6.35	4.51	10.39	15.71	7.90
Government (net)	-9.13	2.66	14.34	7.45	-4.83
Private sector and state enterprises	2.78	1.85	-3.95	8.26	12.73
Money and quasi-money	18.45	-4.22	9.92	-4.58	12.32
<u>Balance of payments</u>					
	(In millions of SDRs)				
Exports, f.o.b.	1024.87	809.59	844.43	799.45	627.64
Of which: petroleum	(773.77)	(640.80)	(692.02)	(669.32)	(500.20)
Imports, f.o.b.	-377.85	-361.47	-311.26	-356.35	-388.98
Trade balance	647.02	448.12	533.17	443.09	238.66
Services and private transfers (net)	-867.44	-872.45	-791.53	-768.80	-518.67
Current account (including public transfers)	-149.95	-78.56	-179.24	-144.29	-192.92
Capital account (net)	-137.50	-144.12	-181.66	-210.81	-154.66
Official	-254.16	-153.45	-205.54	-212.31	-213.44
Private	33.21	77.22	31.93	121.79	0.00
Short-term capital	41.41	107.79	70.57	16.25	117.65
Errors and omissions	-258.93	-276.00	-321.57	-320.69	-326.50
Overall surplus or deficit (-)	-258.93	-276.00	-321.57	-320.69	-326.50
Current account deficit, excluding official transfers, as percent of GDP	-11.0	-21.9	-14.2	-19.8	-28.2
Gross official foreign reserves					
In weeks of projected imports, c.i.f.	0.73	0.78	0.82	0.18	0.80
<u>External public debt</u>					
Disbursed and outstanding (end of period, in millions of SDRs) ^{2/}	3235.90	3525.90	3481.60	3632.10	3739.10
Public debt to GDP ratio	152.20	175.12	181.90	215.10	374.20
Scheduled public debt service as percent of exports of goods and nonfactor services	36.00	39.10	41.80	39.30	39.90
<u>Exchange rates (period average)</u>					
CFAF/SDR	369.46	385.93	372.68	399.88	840.53
CFAF/\$	272.26	282.11	264.69	286.45	604.70

^{1/} Adjusted for effects of parity change.

^{2/} Including arrears at the end of the year.

Republic of Congo — Basic Data (concluded)

	<u>1965</u>	<u>1975</u>	<u>Mid— 1980s</u>	<u>Most recent estimate</u>
<u>Selected social indicators</u>				
Vital statistics				
(per 1,000 of population)				
Crude birth rate	42.00	43.00	40.60	47.3 (87)
Crude death rate	17.50	14.40	12.80	11.2 (87)
Infant mortality rate	118.40	87.00	93.60	73.0 (87)
Under 5 mortality rate	...	...	...	101.0 (87)
Life expectancy (years)	49.40	53.30	51.10	...
Food, health, nutrition				
Daily calories per capita	2,259	2,326	...	261.9 (86)
Daily protein per capita	36.00	40.00	...	51.0 (86)
Malnutrition under 5 years				
(percentage of age group)	...	32.30	22.00	...
Population per physician	14,213	5,500	8,123	...
Population per nursing person	950	787	574	...
Immunized under 12 months (percent)				
(Measles, DTP)	...	...	...	71.0 (87)
Energy consumption per capita				
(kg of oil equivalent)	89.60	185.40	...	222.9 (87)

Republic of Congo - Stand-By Arrangement

Attached hereto (EBS/94/71, 3/31/94) is a letter with annexed memorandum, dated March 17, 1994, from the Minister of Finance and Budget of the Congo requesting a stand-by arrangement and setting forth:

(a) the objectives, policies, and measures that the authorities of the Congo intend to pursue for the period of this stand-by arrangement; and

(b) understandings of the Congo with the Fund regarding reviews that will be made of the progress in realizing the objectives of the program and of the policies and measures that the authorities of the Congo will pursue for the period of this stand-by arrangement.

To support these objectives and policies, the International Monetary Fund grants this stand-by arrangement in accordance with the following provisions:

1. For the period from -----, 1994 to -----, 1995, the Congo will have the right to make purchases from the Fund in an amount equivalent to SDR 23.16 million, subject to paragraphs 2, 3, 4, and 5 below, without further review by the Fund.

2. (a) Purchases made under this stand-by arrangement shall not, without the consent of the Fund, exceed the equivalent of SDR 12.50 million until August 15, 1994, the equivalent of SDR 16.05 million until November 15, 1994, the equivalent of SDR 19.6 million until February 15, 1995, and the equivalent of SDR 21.38 million until May 15, 1995.

(b) None of the limits in (a) above shall apply to a purchase under this stand-by arrangement that would not increase the Fund's holdings of the Congo's currency subject to repurchase beyond 25 percent of quota.

3. The Congo will not make purchases under this stand-by arrangement that would increase the Fund's holdings of the Congo's currency subject to repurchase beyond 25 percent of quota:

(a) during any period in which the data at the end of the preceding period indicate that

(i) the ceiling on net claims of the banking system on the Government; or

(ii) the ceiling on increase in net domestic assets of the banking system; or

(iii) the target on the Central Government's outstanding external payments arrears

specified in Table 1 of the memorandum, is not observed; or

- (b) if at any time during the period of the arrangement
 - (i) the ceiling on new nonconcessional external borrowing contracted or guaranteed by the public sector with initial maturities of 1 to 15 years, or the ceiling on net external borrowing with less than one year maturity, referred to in paragraph 40 of the attached memorandum and specified in Table 1 attached thereto, is not observed; or
 - (ii) the Congo fails to fulfill its intentions regarding the nonaccumulation of new domestic and external payments arrears as set out in paragraph 40 of the attached memorandum and Table 1 attached thereto; or
- (c) after November 14, 1994 until the review contemplated in paragraph 3 of the letter and in paragraph 42 of the attached memorandum, is completed; or
- (d) after August 14, November 14, 1994, February 14, and May 14, 1995 until the financing assurances reviews contemplated in paragraph 42 of the memorandum, are completed, provided that no such review shall be necessary after the Fund finds that satisfactory arrangements have been reached on the external financing of the Congo's program; or
- (e) if at any time during the period of the stand-by arrangement the Congo
 - (i) imposes or intensifies restrictions on the making of payments and transfers for current international transactions; or
 - (ii) introduces or modifies multiple currency practices; or
 - (iii) concludes bilateral payments agreements which are inconsistent with Article VIII; or
 - (iv) imposes or intensifies import restrictions for balance of payments reasons.

When the Congo is prevented from purchasing under this stand-by arrangement because of this paragraph 3, purchases will be resumed only after consultation has taken place between the Fund and the Congo and understandings have been reached regarding the circumstances in which such purchases can be resumed.

4. The Congo will not make purchases under this stand-by arrangement during any period in which the Congo has an overdue financial obligation to the Fund or is failing to meet a repurchase expectation (a) in respect of a noncomplying purchase pursuant to Decision No. 7842-(84/165) on the Guidelines on Corrective Action, or (b) in respect of a purchase in support of debt and debt service reduction operations pursuant to Decision No. 9331-(89/167), as amended, or (c) pursuant to subparagraph 16(a) or 33(a) of Decision No. 8955-(88/126), as amended, on the Compensatory and Contingency Financing Facility.

5. The Congo's right to engage in the transactions covered by this stand-by arrangement can be suspended only with respect to requests received by the Fund after (a) a formal ineligibility, or (b) a decision of the Executive Board to suspend transactions, either generally or in order to consider a proposal, made by an Executive Director or the Managing Director, formally to suppress or to limit the eligibility of the Congo. When notice of a decision of formal ineligibility or of a decision to consider a proposal is given pursuant to paragraph 5, purchases under this agreement will be resumed only after consultation has taken place between the Fund and the Congo and understandings have been reached regarding the circumstances in which such purchases can be resumed.

6. Purchases under this stand-by arrangement shall be made in the currencies of other members selected in accordance with the policies and procedures of the Fund, unless, at the request of the Congo, the Fund agrees to provide SDRs at the time of purchase.

7. The Congo shall pay a charge for this stand-by arrangement in accordance with the decisions of the Fund.

8. (a) The Congo shall repurchase the amount of its currency that results from a purchase under this stand-by arrangement in accordance with the provisions of the Articles of Agreement and decisions of the Fund, including those relating to repurchase as the Congo's balance of payments and reserve position improve.

(b) Any reductions in the Congo's currency held by the Fund shall reduce the amounts subject to repurchase under (a) above in accordance with the principles applied by the Fund for this purpose at the time of the reduction.

9. During the period of the stand-by arrangement, the Congo shall remain in close consultation with the Fund. These consultations may include correspondence and visits of officials of the Fund to the Congo or of representatives of the Congo to the Fund. The Congo shall provide the Fund, through reports at intervals or dates requested by the Fund, with such information as the Fund requests in connection with the progress of the Congo in achieving the objectives and policies set forth in the attached letter and annexed memorandum.

10. In accordance with paragraph 4 of the attached letter, the Congo will consult the Fund on the adoption of any measures that may be appropriate at the initiative of the Government or whenever the Managing Director requests consultation because any of the criteria in paragraph 3 above have not been observed or because the Managing Director considers that consultation on the program is desirable. In addition, after the period of the arrangement and while the Congo has outstanding purchases in the upper credit tranches, the Government will consult with the Fund from time to time, at the initiative of the Government or at the request of the Managing Director, concerning the Congo's balance of payments policies.

Table 1. Republic of Congo: Performance Criteria
and Indicative Targets, June-December 1994

(In billions of CFA francs, unless otherwise indicated)

	<u>1993</u> <u>Dec.</u> <u>Actual</u>	<u>1994</u> <u>March</u> <u>Est.</u>	<u>1994</u> <u>June</u>	<u>1994</u> <u>Sept.</u>	<u>Dec. 1/</u>	<u>1995</u> <u>March 1/</u>
<u>Performance criteria</u>						
						(End of period)
Ceilings on net claims on the Government 2/	84.3	88.0	88.0	85.0	82.0	82.0
Ceilings on net domestic assets (banking system) 3/	126.1	132.1	136.0	137.0	138.0	140.0
Nonconcessional external loans contracted or guaranteed by the Government with maturities of 1-15 years 4/		--	--	--	--	--
Net drawings on short-term external loans (0 to 1 year) 5/		--	--	--	--	--
Central Government's outstanding external payments arrears (in millions of U.S. dollars)	1,944	1,955	871	682	664	664
New government external payments arrears 6/		--	--	--	--	--
New government domestic payments arrears		--	--	--	--	--
<u>Indicative targets 7/</u>						(Cumulative from January 1)
Budgetary expenditure excluding wages and interest		27.2	71.9	109.8	154.2	70.9
Revenue from the tax on petroleum consumption (TIC)		--	5.5	11.7	18.0	4.5
Petroleum receipts		26.7	47.4	66.1	83.8	25.0

1/ Indicative.

2/ Central bank advances plus IMF purchases transferred to the Treasury, less Treasury deposits and cash balances at the central bank, plus net claims of deposit money banks on Treasury.

3/ To be adjusted for any excess petroleum receipts over targets, as noted in paragraph 40.

4/ Does not include borrowing for debt restructuring.

5/ Excludes normal import-related credits.

6/ Excludes amounts to be settled in the context of debt rescheduling and restructuring agreements.

7/ Data for March 1995 are cumulative from January 1995, and expenditure includes wages.